

Finance Committee Agenda

Date: Thursday, 24 July, 2025

Time: 1:30 pm

Location: Civic Centre, Te Iwitahi, 9 Rust Avenue

Elected Members: Cr Paul Yovich (Chairperson)
Cr Phil Halse (Deputy Chairperson)
His Worship the Mayor Vince Cocurullo
Cr Ken Couper
Cr Deborah Harding
Cr Patrick Holmes
Cr Simon Reid

For any queries regarding this meeting please contact the Whangarei District Council on (09) 430-4200.

1. Declarations of Interest / Take Whaipānga	
2. Apologies / Kore Tae Mai	
3. Confirmation of Minutes of Previous Finance Committee Meeting / Whakatau Meneti	
3.1 Minutes Finance Committee meeting held on 26 June 2025	7
4. Information Reports / Ngā Pūrongo Kōrero	
4.1 Local Government Funding Agency - Statement of Intent 2025-28	11
4.2 Credit Rating Update	31
4.3 Financial Report for the 12 months ending 30 June 2025	43
4.4 Operations Report - Corporate Group - July 2025	49
5. Public Excluded Business / Rāhui Tangata	
6. Closure of Meeting / Te katinga o te Hui	

Finance Committee – Terms of Reference

Membership

Chairperson	Councillor Paul Yovich
Deputy Chairperson	Councillor Phil Halse
Members	His Worship the Mayor Vince Cocurullo Councillors Ken Couper, Deborah Harding, Patrick Holmes and Simon Reid
Meetings	Monthly
Quorum	4

Purpose

To ensure than Council finances and other corporate support functions are well managed. Management of disposal and purchase of individual properties within Council's commercial property portfolio.

Key responsibilities

- Manage the budget process including the co-ordination and preparation of budgets and financial statements for the Annual Plan and Long-Term Plan.
- Preparation of the financial component of Council's Annual Report.
- Operational reporting for the Corporate Group within Council.
- Operational accountability of performance including:
 - Health and Safety
 - Regular reporting on service delivery
 - Compliance
 - Sustainability
 - Finance
- Procurement – general procurement relating to the areas of business of this committee, within delegations.
- Shared Services – investigate opportunities for shared services for recommendation to council.

- Council's commercial property portfolio, including:
 - The purchase and disposal of commercial properties specifically identified in the Long Term Plan
 - The purchase and disposal of commercial properties as authorised by Council, where these are not specifically identified in the Long Term Plan.
 - Recommendations to Council for the purchase and disposal of any other commercial properties.
- Council Controlled Organisations (CCOs) – monitoring the financial and non-financial performance of CCOs whose functions would otherwise fall under the scope of this committee. Includes trading CCOs (CCTOs) and those CCOs exempted under the LGA. Responsibilities include:
 - advising on the content of annual Statement of Expectations to CCOs
 - monitoring against the Statement of Intent
 - for exempted CCOs, monitoring and reporting as agreed between Council and the organisation
 - quarterly reporting on performance

CCO accountable to this committee:

- Local Government Funding Agency (LGFA)
**Statement of Intent agreement to council*

Delegations

- (i) All powers necessary to perform the committee's responsibilities, including:
 - (a) Approval of expenditure of less than \$5 million plus GST.
 - (b) Purchase and disposal of commercial properties as identified above and within the budget limits identified in the Long Term Plan.
 - (c) Establishment of working parties or steering groups.

The Committee does not have:

- I. The power to establish sub-committees.
- II. The powers Council is expressly prohibited from delegating as outlined in Clause 32(1)(a)-(h) of Schedule 7 of the Local Government Act 2002; being:
 - the power to make a rate
 - the power to make a bylaw
 - the power to borrow money, or purchase or dispose of assets, other than in accordance with the long-term plan

- the power to adopt a long-term plan, annual plan or annual report
- the power to appoint a chief executive the power to adopt policies required to be adopted and consulted on under the Local Government 2002 in association with the long-term plan or developed for the purpose of the local governance statement
- the power to adopt a remuneration and employment policy.

Finance Committee Meeting Minutes

Date: Thursday, 26 June, 2025
Time: 1:30 p.m.
Location: Civic Centre, Te Iwitahi, 9 Rust Avenue

In Attendance
 Cr Paul Yovich (Chairperson)
 Cr Phil Halse (Deputy Chairperson)
 His Worship the Mayor Vince Cocurullo
 Cr Ken Couper
 Cr Simon Reid

Not in Attendance
 Cr Deborah Harding
 Cr Patrick Holmes

Also in Attendance
 Cr Gavin Benney
 Cr Marie Olsen

Scribe V. Kloet (Democracy Adviser)

Cr Yovich opened the meeting at 1.30pm and adjourned the meeting until 1:40pm to allow the Elected Members a short break.

1. **Declarations of Interest / Take Whaipānga**

No interests were declared.

2. **Apologies / Kore Tae Mai**

Cr Patrick Holmes and Cr Deb Harding

Moved By Cr Paul Yovich

Seconded By His Worship the Mayor

Carried

3. **Confirmation of Minutes of Previous Finance Committee Meeting / Whakatau Meneti**

3.1 **Minutes Finance Committee meeting held on 22 May 2025**

Moved By Cr Paul Yovich

Seconded By His Worship the Mayor

That the minutes of the Finance Committee meeting held Thursday 22 May 2025 including the confidential minutes, having been circulated be taken as read and now confirmed and adopted as a true and correct record of proceedings of that meeting.

Carried

4. Information Reports / Ngā Pūrongo Kōrero

4.1 Financial Report for the 11 months ending 31 May 2025

Moved By Cr Paul Yovich

Seconded By His Worship the Mayor

That the Finance Committee notes the operating results for the eleven months ending 31 May 2025.

Carried

4.2 Capital Projects Report for the eleven months ending 31 May 2025

Moved By Cr Ken Couper

Seconded By Cr Phil Halse

That the Finance Committee notes the Capital Projects report for the period ending 31 May 2025.

Carried

4.3 Operations Report - Corporate Group - June 2025

Moved By His Worship the Mayor

Seconded By Cr Simon Reid

That the Finance Committee notes the Corporate Group operations report for June 2025 which contains statistics up to 31 May 2025.

Carried

5. Public Excluded Business / Rāhui Tangata

There was no business in public excluded.

6. Closure of Meeting / Te katinga o te Hui

His Worship the Mayor concluded the meeting at 2:23pm with a prayer.

Item 3.1

3

Confirmed this 24th day of July 2025

Cr Paul Yovich (Chairperson)

4.1 Local Government Funding Agency – Statement of Intent 2025-28

Meeting: Finance Committee
Date of meeting: 24 July 2025
Reporting officer: Delyse Henwood (Manager – Finance)

1 Purpose / Te Kaupapa

To agree to the Local Government Funding Agency (LGFA) 2025-28 Statement of Intent in accordance with Section 65(2) of the Local Government Act 2002.

2 Recommendation / Whakataunga

That the Finance Committee agrees to the Local Government Funding Agency 2025-28 Statement of Intent.

3 Background / Horopaki

Section 64 of the Local Government Act 2002 advises that Council Controlled Organisations (CCOs) must have a Statement of Intent (SOI). The purpose of a SOI is to state publicly the activities and intentions of the CCO, to provide an opportunity for Council to influence the direction of the organisation, and to provide a basis for accountability.

Council must either agree with the SOI or ask for modifications as outlined in section 65(2).

The Draft SOI for the LGFA was presented to this Committee at its meeting on 29 April 2025.

Note: Alan Adcock, GM Corporate/CFO for Whangarei District Council is the sole Non-Independent Director of LGFA. Conflicts of interest that arise from this are proactively managed where they occur.

4 Discussion / Whakawhiti kōrero

The final SOI for the LGFA, of which Council has a shareholding, is included as Attachment One. It meets the obligations of Section 64 and Schedule 8 in the Local Government Act 2002.

The LGFA covering letter to shareholders is included as Attachment Two. The letter highlights key points and notes the changes made to the 2025-28 SOI after presentation of the draft to this Committee in April 2025 as well as feedback from the LGFA Shareholders' Council.

4.1 Financial/budget considerations

The Local Government Funding Agency (LGFA) is jointly owned by the Crown and 30 local authorities. Council is a shareholder of the LGFA and is a party to the guarantee of all borrowings of the entity. The LGFA raises debt funding either domestically and/or offshore in either New Zealand dollars or foreign currency and provides debt funding to New Zealand local authorities.

Council borrows the majority of its debt from LGFA. Council's external debt is secured by way of a debenture trust deed over the rates of Council.

5 Significance and engagement / Te Hira me te Arawhiti

The decisions or matters of this agenda do not trigger the significance criteria outlined in Council's Significance and Engagement Policy, and the public will be informed via agenda publication on the website.

6 Attachments / Ngā Tāpiritanga

Attachment 1 – LGFA 2025-28 Statement of Intent

Attachment 2 – LGFA letter to Stakeholders dated 27 June 2025



2025 – 2028

Statement of Intent

LGFA



New Zealand Local
Government Funding Agency
Te Pūtea Kāwanatanga ā-rohe

1. Introduction

This Statement of Intent (SOI) sets out the nature and scope of the activities, objectives, and performance targets for the New Zealand Local Government Funding Agency Limited (LGFA) for the three-year period 1 July 2025 to 30 June 2028.

LGFA is enabled under the Local Government Borrowing Act 2011 and is a council-controlled organisation (CCO) for the purposes of the Local Government Act 2002.

The SOI is prepared in accordance with section 64(1) of the Local Government Act 2002.

2. Nature and scope of activities

LGFA raises debt funding for the purpose of providing debt financing to New Zealand local authorities and CCOs (members).

In August 2024, LGFA confirmed that it will provide financing to support water CCOs established under Local Water Done Well.

LGFA may raise debt funding either domestically and/or offshore in either NZ dollars or foreign currency.

LGFA only lends to members that have completed required relevant legal and operational arrangements and comply with the LGFA's lending policies.

In addition, LGFA may undertake any other activities considered by the LGFA Board to be reasonably related, incidentally to, or in connection with, that business.

The LGFA Board has agreed subject to receiving Shareholder approval to support the development of the Ratepayer Assistance Scheme (RAS).

3. Our purpose Ta tatou kaupapa

Benefiting local communities through delivering efficient financing for local government.

Ka whiwhi painga ngā hāpori mā te whakarato pūtea tōtika ki ngā kaunihera.



4. Our values Ō mātau uara

We act with integrity E pono ana mātau We are honest, transparent and are committed to doing what is best for our customers and our company.	We are customer focused E arotahi ana mātau ki te kiritaki Our customers are our borrowers, investors, and all other organisations that we deal with. We listen to them and act in their best interests to deliver results that make a positive difference.	We strive for excellence E whakapau kaha mātau kia hiranga te mahi We strive to excel by delivering financial products and services that are highly valued at least cost while seeking continuous improvement in everything we do.	We provide leadership He kaiārahi mātau We are here for our stakeholders in being strategically minded, providing resilience and executing our strategy. We embrace a high-performance culture and can be relied upon to deliver results.	We are innovative He auaha mātau To meet our ever-changing customer requirements, we will encourage innovation and provide a diverse range of financial products and services.
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5. Foundation objectives

The Shareholders' Agreement is a foundation document and states that, in accordance with the Local Government Act, in carrying on its business the objectives of the Company will be to:

- (a) achieve the objectives of the Shareholders (both commercial and non-commercial) as specified in the Statement of Intent. The Shareholders agree that the Company shall carry on its business with a view to making a profit sufficient to pay a dividend in accordance with the Dividend Policy, but that the primary objective of the Shareholders with respect to the Company is that it optimises the terms and conditions of the debt funding it provides to Participating Local Authorities;
- (b) be a good employer;
- (c) exhibit a sense of social and environmental responsibility by having regard to the interests of the community in which it operates and by endeavouring to accommodate or encourage these when able to do so; and
- (d) conduct its affairs in accordance with sound business practice.

This Statement of Intent sets out the company's strategic priorities, together with associated objectives and performance targets, which align with the foundation objectives and have been agreed with shareholders.

6. Strategic priorities

The following five strategic priorities encompass the foundation objectives and guide the LGFA Board and management in determining our strategy, objectives, and associated performance targets.

Governance, capability, and business practice

LGFA is committed to best-practice corporate governance underpinned by sound business practice to ensure its long-term sustainability and success.

Optimising financing services for local government

LGFA's primary objective is to optimise the terms and conditions of the debt funding it provides to its members. Amongst other things, LGFA will achieve this by delivering operational best practice and efficiency across our lending products and services.

Environmental and social responsibility

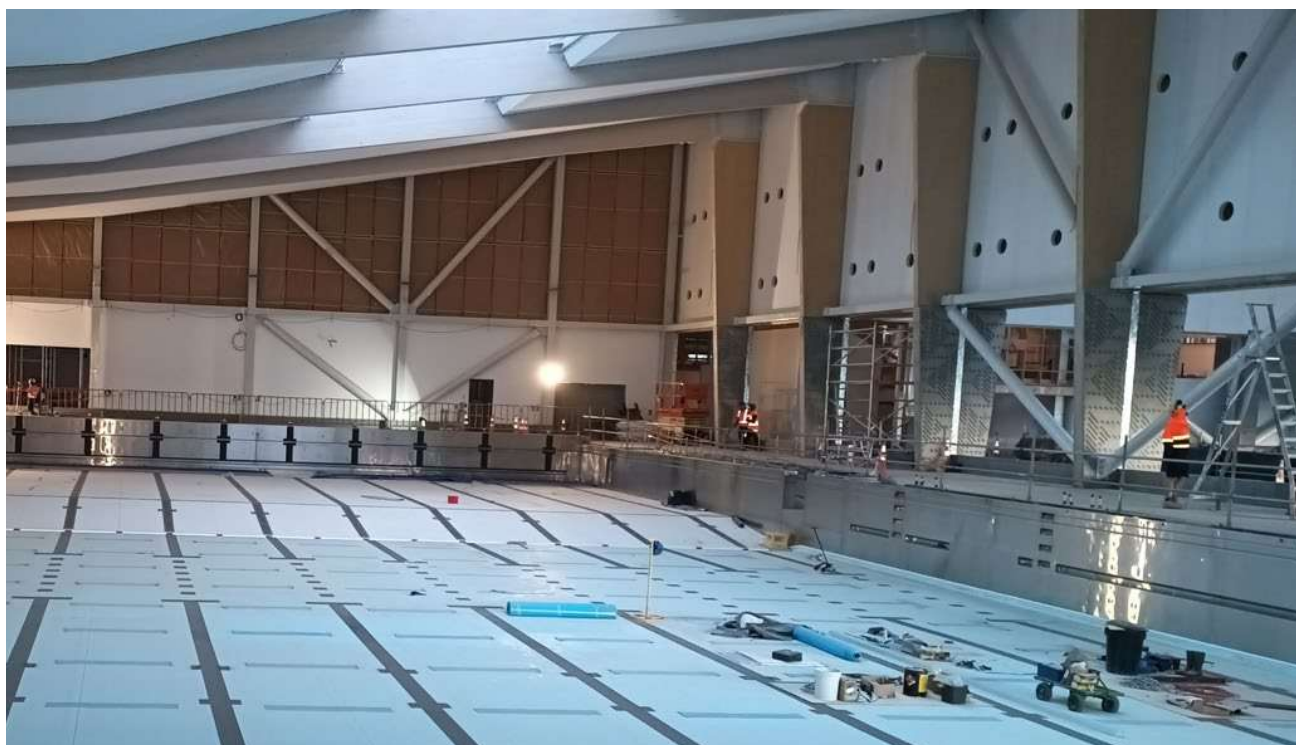
LGFA recognises the risks inherent in climate change for councils and supports New Zealand's shift to a low-carbon economy. LGFA will exhibit a sense of social and environmental responsibility by having regard to the interests of the community in which it operates and by endeavouring to accommodate or encourage these when able to do so.

Effective management of loans

LGFA will ensure its loan book remains at a high standard by ensuring it understands each member's financial position and managing assets within an appropriate risk management framework to ensure shareholder value is not compromised.

Industry leadership and engagement

LGFA will take a proactive role to enhance the financial strength and depth of the local government debt market and will work with key central government and local government stakeholders on sector issues.



7. Objectives and performance targets

This section sets out LGFA's objectives and performance targets for SOI 2025-2028.

The financial performance targets are focused on the 2025-2026 year and, as applicable, are based on the financial forecasts outlined in section 8.

Governance, capability, and business practice

Objectives	How we measure our performance
Demonstrate best-practice corporate governance.	The Annual Report outlines our compliance with the eight core principles underpinning the NZX Corporate Governance Best Practice Code.
Set and model high standards of ethical behaviour.	LGFA has adopted a formal Code of Ethics, incorporating its Conflicts of Interest and Code of Conduct policies, which sets out the standards and values that directors and employees are expected to follow.
Achieve the shareholder-agreed objectives and performance targets specified in this Statement of Intent.	LGFA reports performance against objectives quarterly to shareholders and in our Annual Report, Half Year Report and Climate-Related Disclosures.
Ensure products and services offered to participating borrowers are delivered in a cost-effective manner.	LGFA prepares annual operating budgets and monitors progress against these monthly. Financial performance is reported quarterly to shareholders and in our Annual and Half Year Reports.
Be a good employer by providing safe working conditions, training and development and equal opportunities for staff	The Annual Report reports on our health and safety and wellbeing practices and policies, compliance with the Health and Safety at Work Act, diversity and inclusion and capability and development.

Performance targets	2025-2026 target
Comply with the Shareholder Foundation Policies and the Board-approved Treasury Policy at all times.	No breaches.
Maintain LGFA's credit rating equal to the New Zealand Government sovereign rating where both entities are rated by the same Rating Agency.	LGFA credit ratings equivalent to NZ Sovereign.
LGFA's total operating income, excluding unrealised gains / (losses) on financial instruments, for the period to 30 June 2026.	>\$44.7 million.
LGFA's total operating expenses (excluding Approved Issuer Levy) for the period to 30 June 2026.	<\$12.1 million.

Optimising financing services for local government

Objectives	How we measure our performance
Provide interest cost savings relative to alternative sources of financing.	Measure LGFA issuance spreads against other high-grade issuers in the New Zealand domestic capital markets.
Offer flexible short and long-term lending products that meet the borrowing requirements for borrowers.	Measure LGFA's share of overall council borrowing. Survey participating borrowers on an annual basis.
Deliver operational best practice and efficiency for lending services.	Monitor settlements errors for new trades and cashflows. Survey participating borrowers on an annual basis.
Ensure certainty of access to debt markets, subject always to operating in accordance with sound business practice.	Maintain a vibrant primary and secondary market in LGFA bonds. Monitor participation by investors at our tenders through bid-coverage ratios and successful issuance yield ranges. Have the ability to issue debt securities in NZD and foreign currency.

Performance targets	2025-2026 target
Share of aggregate long-term debt funding to the Local Government sector. The market share excludes entities who are ineligible for borrowing from LGFA e.g. water entities not financially supported by their parent councils.	> 80%.
Conduct an annual survey of Participating Borrowers who borrow from LGFA as to the value added by LGFA to the borrowing activities.	> 85% satisfaction score.
Successfully refinance existing loans to councils and LGFA bond maturities as they fall due.	100%.
Meet all lending requests from Participating Borrowers, where those requests meet LGFA operational and covenant requirements.	100%.

Environmental and social responsibility

Objectives	How we measure our performance
Assist the local government sector in achieving their sustainability and climate change objectives.	LGFA is committed to assist borrowers financing of projects that promote environmental and social wellbeing in New Zealand, and to encourage a reduction in greenhouse gas emissions and increase climate-resilience amongst borrowers. We do this through the development of lending products such as Green, Social & Sustainability (GSS) loans and Climate Action Loans (CALs). This objective will be measured by the number of new GSS loans and the number of new members eligible for CALs.
Improve sustainability outcomes within LGFA.	LGFA is committed to reducing our carbon emissions, increasing our resilience to climate change, and managing our climate-related risks and opportunities. To do this effectively, climate change considerations will be embedded into our governance, strategy and risk management functions.

Performance targets	2025-2026 target
Health and Safety	No notifiable incidents.
Maintain Toitū Carbon Zero certification	Carbon-zero certification maintained.
Meet reduction targets outlined in our carbon reduction management plan.	< 8.7 tCO ₂ e annual per person GHG emissions.
Increase our GSS lending book and Climate Action Loans	Two new GSS loans undertaken. Two new borrowers enter into CALs.
Develop a sustainable financing option for the water sector	New sustainable financing option is available to water entities.
Enhance our insight into climate-related risks through council lending	Climate change is incorporated into LGFA's credit risk assessments.
Assess required governance skills for LGFA's climate-related risks and opportunities.	Develop a director skills matrix.

Effective management of loans

Objectives	How we measure our performance
Proactively monitor and review each Participating Borrower's financial position, including its financial headroom under LGFA policies. Analyse finances at the Council group level where appropriate and report to shareholders.	LGFA reviews all participating councils and CCOs financial statements on an annual basis and the agendas and management reports on an ongoing basis for all councils on the LGFA borrower watch-list. Member councils are required to complete annual compliance certificates by the end of November each year.
Endeavour to meet each participating borrower annually, including meeting with elected officials as required, or if requested	Number of members visited in a year
Ensure a smooth transition of water-related loans if the Local Water Done Well Reforms progresses over forecast period.	LGFA will be able to ensure the successful transition of existing council water-related loans to Water CCOs (if requested by a council)

Performance targets	2025-2026 target
Review each Participating Borrower's financial position.	100%.
Arrange to meet each Participating Borrower over a 15-month period, including meeting with elected officials as required, or if requested.	100%.

Industry leadership and engagement

Objectives	How we measure our performance
Take a proactive role to enhance the financial strength and depth of the local government debt market and work with key central government and local government stakeholders on sector and individual council issues.	Report on actions undertaken and progress made on sector issues. Identifying any legislative or Central Government policy changes that may impact LGFA and undertake formal or informal submissions. Assist the local government sector with understanding any legislative or Central Government policy changes that may impact LGFA. Provide the opportunity for a Council or CCO staff member to enhance their governance understanding and skills through the LGFA Future Director Programme.
Support the local government sector with the transition to the Local Water Done Well Reforms by assisting with the development options for the Water Services Delivery Plans and communicating our requirements (lending, financial covenants, reporting), as well as loan pricing guidance, implementation considerations and views on best practice.	Report on our sector-wide engagement and initiatives with assisting members' transition to the Local Water Done Well Reforms.

Performance targets	2025-2026 target
Provide quarterly updates to shareholders and borrowers on sector developments that are impacting LGFA	Four quarterly updates to councils and CCOs.
Meet annually with Infrastructure Commission, Local Government New Zealand, Taituara, Water New Zealand, Infrastructure New Zealand, Crown Infrastructure Partners, Department of Internal Affairs, Treasury and Minister's office to discuss sector issues from an LGFA perspective	Nine meetings across stakeholders.
Support councils with Local Water Done Well by providing timely and responsible advice for on-boarding water CCOs.	On-boarding process is underway for all water CCOs who have requested it.
Provide a governance opportunity for a council or CCO staff member under the LGFA Future Director Programme.	One Future Director appointed for an 18 month term.



8. Financial forecasts

LGFA's financial forecasts for the three years to 30 June 2028:

Summary comprehensive income \$m	Jun 26	Jun 27	Jun 28
Net interest income	42.8	39.2	43.4
Other operating income	1.9	1.9	1.9
Total income	44.7	41.1	45.3
Operating expenses ¹	20.2	24.8	26.2
Net profit	24.5	16.3	19.1
Financial position \$m	Jun 26	Jun 27	Jun 28
Liquid assets portfolio	4,501	5,787	6,192
Loans	24,751	26,498	26,861
Water loans	-	250	1,250
Other assets	-	-	-
Total assets	29,252	32,535	34,303
NZD bonds on issue (ex Treasury stock)	16,466	16,045	16,852
Foreign Currency bonds on issue	9,552	12,702	13,240
Bills & ECP on issue	2,042	2,042	2,042
Borrower notes	1,073	1,506	1,822
Other liabilities	-	-	-
Total liabilities	29,133	32,296	33,955
Capital	25	25	25
Retained earnings	132	146	164
Dividend	(2)	(2)	(2)
Shareholder equity	155	169	187
Ratios	Jun 26	Jun 27	Jun 28
Liquid assets/funding liabilities	16.6%	19.1%	19.4%
Liquid assets / total assets	15.4%	17.8%	18.0%
Net interest margin	0.17%	0.15%	0.16%
Cost to income ratio	45.1%	60.3%	57.8%
Return on average assets	0.08%	0.05%	0.06%
Shareholder equity/total assets	0.5%	0.5%	0.5%
Shareholder equity + BN/total assets	4.2%	5.2%	5.9%
Asset growth	12.1%	11.2%	5.4%
Loan growth	10.0%	7.1%	1.4%
Return on equity	18.6%	10.5%	11.3%
Capital ratio	21.0%	25.8%	29.3%

1. Operating Expenses include Approved Issuer Levy (AIL)

The above forecasts assume a gross bond issuance programme of \$5.15 billion (FY26), \$5.05 billion (FY27) and \$5.0 billion (FY28) based upon term gross lending to councils and CCOs of \$5.08 billion (FY26), \$5.74 billion (FY27) and \$6.06 billion (FY28).

Note: The forecasts include consideration that LGFA will provide financing to support water CCOs established under Local Water Done Well. However, there is a level of uncertainty regarding the financial forecasts for both council borrowing and LGFA bond issuance due to the uncertainty relating to the timing of the establishment of water CCOs and the impact on councils.

Our council lending and LGFA bond issuance forecasts include LGFA lending to the proposed water CCOs if they meet our qualifying criteria for membership. We have assumed we will not be lending to financially independent water CCOs such as Watercare as they are unlikely to meet the qualifying criteria. As at the date of release, there have been no Water Services Delivery Plans approved and no final decisions made regarding the transfer mechanism for assets, liabilities and revenue from each council to the proposed water organisations.

Ratepayer Assistance Scheme

LGFA is supporting the development of the Ratepayer Assistance Scheme ("RAS") that will assist ratepayers with the ability to defer rates, enter property improvement loans and spread the payment of development contributions (or levies) over a long time horizon. LGFA has committed to financially contribute to the RAS business case in the 2024-25 FY. If the business case is supportive and the RAS proceeds then (subject to shareholder approval), LGFA will consider taking a shareholding, providing a debt facility, providing support services, investing in preference shares (akin to the LGFA Borrower Notes) and managing the RAS debt issuance programme. The LGFA participation in RAS has not been factored into the above financial forecasts.

9. Dividend policy

LGFA primary objective is to maximise benefits to participating borrowers rather than shareholders. Consequently, it is intended to pay a limited dividend to shareholders.

The Board's policy is to pay a dividend that provides an annual rate of return to shareholders equal to LGFA fixed rate bond cost of funds plus 2.00% over the medium term.

At all times payment of any dividend will be discretionary and subject to the Board's legal obligations and views on appropriate capital structure.

10. Governance

Board

The Board is responsible for the strategic direction and control of LGFA's activities. The Board guides and monitors the business and affairs of LGFA, in accordance with the Companies Act 1993, the Local Government Act 2002, the Local Government Borrowing Act 2011, the Company's Constitution, the Shareholders' Agreement for LGFA and this SOI.

The Board comprises seven directors with six being independent directors and one being a non-independent director.

The Board's approach to governance is to adopt best practice with respect to:

- The operation of the Board.
- The performance of the Board.
- Managing the relationship with the Company's Chief Executive.
- Being accountable to all Shareholders.

All directors are required to comply with a formal Charter.

The Board will meet on a regular basis and no fewer than six times each year.

Shareholders' Council

The Shareholders' Council is made up of between five and ten appointees of the Shareholders (including an appointee from the Crown). The role of the Shareholders' Council is to:

- Review the performance of LGFA and the Board, and report to Shareholders on that performance on a periodic basis.
- Make recommendations to Shareholders as to the appointment, removal, replacement, and remuneration of directors.
- Make recommendations to Shareholders as to any changes to policies, or the SOI, requiring their approval.
- Ensure all Shareholders are fully informed on LGFA matters and to coordinate Shareholders on governance decisions.

11. Information to be provided to Shareholders

The Board aims to ensure that Shareholders are informed of all major developments affecting LGFA's state of affairs, while at the same time recognising both LGFA's obligations under NZX Listing Rules and that commercial sensitivity may preclude certain information from being made public.

Annual Report

The LGFA's balance date is 30 June.

By 30 September each year, the Company will produce an Annual Report complying with Sections 67, 68 and 69 of the Local Government Act 2002, the Companies Act 1993 and Financial Reporting Act 2013. The Annual Report will contain the information necessary to enable an informed assessment of the operations of the company, and will include the following information:

- Directors' Report.
- Financial Statements incorporating a Statement of Financial Performance, Statement of Movements in Equity, Statement of Financial Position, Statement of Cashflows, Statement of Accounting Policies and Notes to the Accounts.
- Comparison of the LGFA's performance regarding the objectives and performance targets set out in the SOI, with an explanation of any material variances.
- Auditor's Report on the financial statements and the performance targets.
- Any other information that the directors consider appropriate.

Climate-Related Disclosures

By 30 September each year, the Company will produce Climate-Related Disclosures in accordance with the Aotearoa New Zealand Climate Standards issued by the External Reporting Board.

The Climate Standards require the Company to disclose climate-related information across the following four thematic areas:

- Governance
- Strategy
- Risk management
- Metrics and targets.

Half Yearly Report

By 28 February each year, the Company will produce a Half Yearly Report complying with Section 66 of the Local Government Act 2002. The Half Yearly Report will include the following information:

- Directors' commentary on operations for the relevant six-month period.
- Unaudited half-yearly Financial Statements incorporating a Statement of Financial Performance, Statement of Movements in Equity, Statement of Financial Position and Statement of Cashflows.

Quarterly Report

By 31 January, 30 April, 31 July, and 31 October each year, the Company will produce a Quarterly Report. The Quarterly Report will include the following information:

- Commentary on operations for the relevant quarter, including a summary of borrowing margins charged to Participating Borrowers (in credit rating bands).
- Comparison of LGFA's performance regarding the objectives and performance targets set out in the SOI, with an explanation of any material variances.
- Analysis of the weighted average maturity of LGFA bonds outstanding.
- In the December Quarterly Report only, commentary on the Net Debt/Total Revenue percentage for each Participating Local Authority that has borrowed from LGFA (as at the end of the preceding financial year).
- To the extent known by LGFA, details of all events of review in respect of any Participating Borrower that occurred during the relevant quarter (including steps taken, or proposed to be taken, by LGFA in relation thereto).
- Details of any lending to CCOs during the quarter and the amount of CCO loans outstanding.
- Commentary on sustainability initiatives.

Statement of Intent

By 1 March in each year the Company will deliver to the Shareholders its draft SOI for the following year in the form required by Clause 9(1) of Schedule 8 and Section 64(1) of the Local Government Act 2002.

Having considered any comments from the Shareholders received by 30 April, the Board will deliver the completed SOI to the Shareholders on or before 30 June each year.

Shareholder Meetings

The Board will hold an Annual General Meeting between 30 September and 30 November each year to present the Annual Report to all Shareholders.

The Company will hold a meeting with the Shareholders' Council approximately every six months – prior to the Annual General Meeting and after the Half Yearly Report has been submitted. Other meetings may be held by agreement between the Board and the Shareholders' Council.

12. Acquisition/divestment policy

LGFA will invest in securities in the ordinary course of business. It is expected that these securities will be debt securities. These investments will be governed by LGFA's lending and/or investment policies as approved by the Board and/or Shareholders.

Any subscription, purchase, or acquisition by LGFA of shares in a company or organisation will, if not within those investment policies, require Shareholder approval other than as concerns the formation of wholly-owned subsidiaries and the subscription of shares in such wholly-owned subsidiaries.

13. Activities for which compensation is sought from Shareholders

At the request of Shareholders, LGFA may (at its discretion) undertake activities that are not consistent with its normal commercial objectives. Specific financial arrangements will be entered into to meet the full cost of providing such activities.

Currently there are no activities for which compensation will be sought from Shareholders.

14. Commercial value of Shareholder's investment

LGFA will seek to maximise benefits to Participating Local Authorities as Borrowers rather than Shareholders.

Subject to the Board's views on the appropriate capital structure for LGFA, the Board's intention will be to pay a dividend that provides an annual rate of return to Principal Shareholders equal to LGFA fixed rate bond cost of funds plus 2.00% over the medium term.

As the Shareholders will have invested in the LGFA on the basis of this limited dividend, the Board considered that at establishment the commercial value of LGFA was equal to the face value of the Shareholders' paid up Principal Shares – \$25 million.

In the absence of any subsequent share transfers to the observed share transfers on 30 November 2012, the Board considers the current commercial value of LGFA is at least equal to the face value of the Shareholders' paid up Principal Shares of \$25 million. This equates to a value per share of \$1.00.

15. Accounting policies

LGFA has adopted accounting policies that are in accordance with the New Zealand International Financial Reporting Standards and generally accepted accounting practice.

Statement of Accounting Policies

1. REPORTING ENTITY

The New Zealand Local Government Funding Agency Limited (LGFA) is a company registered under the Companies Act 1993 and is subject to the requirements of the Local Government Act 2002.

LGFA is controlled by participating local authorities and is a council-controlled organisation as defined under section 6 of the Local Government Act 2002. LGFA is a limited liability company incorporated and domiciled in New Zealand.

The primary objective of LGFA is to optimise the debt funding terms and conditions for participating borrowers.

The registered address of LGFA is Level 8, City Chambers, 142 Featherston Street, Wellington Central, Wellington 6011.

2. STATEMENT OF COMPLIANCE

LGFA is an FMC reporting entity under the Financial Markets Conduct Act 2013 (FMCA). These financial statements have been prepared in accordance with that Act and the Financial Reporting Act 2013. LGFA's bonds are quoted on the NZX Debt Market.

LGFA is a profit orientated entity as defined under the New Zealand Equivalents to International Financial Reporting Standards (NZ IFRS).

The financial statements have been prepared in accordance with New Zealand Generally Accepted Accounting Practice (NZ GAAP) and they comply with NZ IFRS and other applicable Financial Reporting Standard, as appropriate for Tier 1 for-profit entities. The financial statements also comply with International Financial Reporting Standards (IFRS).

3. BASIS OF PREPARATION

Measurement base

The financial statements have been prepared on a historical cost basis modified by the revaluation of certain assets and liabilities.

The financial statements are prepared on an accrual basis.

Functional and presentation currency

The financial statements are presented in New Zealand dollars rounded to the nearest thousand, unless separately identified. The functional currency of LGFA is New Zealand dollars.

Foreign currency conversions

Transactions denominated in foreign currency are translated into New Zealand dollars using exchange rates applied on the trade date of the transaction.

Changes in accounting policies

There have been no changes to accounting policies.

Early adoption standards and interpretations

LGFA has not early adopted any standards.

Standards not yet adopted

LGFA does not consider any standards or interpretations in issue but not yet effective to have a significant impact on its financial statements.

Financial instruments

Financial assets

Financial assets, other than derivatives, are recognised initially at fair value plus transaction costs and subsequently measured at amortised cost using the effective interest rate method.

Cash and cash equivalents include cash on hand, bank accounts and deposits with an original maturity of no more than three months.

Cash provided by LGFA as security for financial arrangements remains a financial asset of LGFA and is recognised as cash pledged as collateral in the Statement of Financial Position, separate from cash and cash equivalents.

Purchases and sales of all financial assets are accounted for at trade date.

At each balance date, an expected credit loss assessment is performed for all financial assets and is calculated as either:

- Credit losses that may arise from default events that are possible within the next 12 months, where no significant increase in credit risk has arisen since acquisition of the asset, or
- Credit losses that may arise from default events that are possible over the expected life of the financial asset, where a significant increase in credit risk has arisen since acquisition of the asset.

Impairment losses on financial assets will ordinarily be recognised on initial recognition as a 12-month expected loss allowance and move to a lifetime expected loss allowance if there is a significant deterioration in credit risk since acquisition.

Financial liabilities

Financial liabilities, other than derivatives, are recognised initially at fair value less transaction costs and subsequently measured at amortised cost using the effective interest rate method.

Derivatives

Derivative financial instruments are recognised both initially and subsequently at fair value. They are reported as either assets or liabilities depending on whether the derivative is in a net gain or net loss position respectively.

Fair value hedge

Where a derivative qualifies as a hedge of the exposure to changes in fair value of an asset or liability (fair value hedge) any gain or loss on the derivative is recognised in profit and loss together with any changes in the fair value of the hedged asset or liability.

The carrying amount of the hedged item is adjusted by the fair value gain or loss on the hedged item in respect of the risk being hedged. Effective parts of the hedge are recognised in the same area of profit and loss as the hedged item.

Other assets

Property, plant and equipment

Items of property, plant and equipment are initially recorded at cost.

Depreciation is charged on a straight-line basis at rates calculated to allocate the cost or valuation of an item of property, plant and equipment, less any estimated residual value, over its remaining useful life.

Intangible assets

Intangible assets comprise software and project costs incurred for the implementation of the treasury management system. Capitalised computer software costs are amortised on a straight-line basis over the estimated useful life of the software (three to seven years). Costs associated with maintaining computer software are recognised as expenses.

Other liabilities

Employee entitlements

Employee entitlements to salaries and wages, annual leave and other similar benefits are recognised in the profit and loss when they accrue to employees.

Revenue

Interest income

Interest income is accrued using the effective interest rate method.

The effective interest rate exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount. The method applies this rate to the principal outstanding to determine interest income each period.

Expenses

Expenses are recognised in the period to which they relate.

Interest expense

Interest expense is accrued using the effective interest rate method.

The effective interest rate exactly discounts estimated future cash payments through the expected life of the financial liability to that liability's net carrying amount. The method applies this rate to the principal outstanding to determine interest expense each period.

Income tax

LGFA is exempt from income tax under Section 14 of the Local Government Borrowing Act 2011.

Goods and services tax

All items in the financial statements are presented exclusive of goods and service tax (GST), except for receivables and payables, which are presented on a GST-inclusive basis. Where GST is not recoverable as input tax, then it is recognised as part of the related asset or expense.

The net amount of GST recoverable from, or payable to, the IRD is included as part of receivables or payables in the statement of financial position.

The net GST paid to, or received from the IRD, including the GST relating to investing and financing activities, is classified as a net operating cash flow in the statement of cash flows.

Commitments and contingencies are disclosed exclusive of GST.

Segment reporting

LGFA operates in one segment being funding of participating borrowers in New Zealand.

Judgements and estimations

The preparation of these financial statements requires judgements, estimates and assumptions that affect the application of policies and reported amounts. For example, the fair value of financial instruments depends critically on judgements regarding future cash flows, including inflation assumptions and the risk-free discount rate.

The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances. Actual results may differ from these estimates and these estimates and underlying assumptions are reviewed on an ongoing basis. Where these judgements significantly affect the amounts recognised in the financial statements they are described in the following notes.

27 June 2025

Dear LGFA stakeholder

Statement of Intent 2025-2028

Please find attached the Statement of Intent (SOI) for the 2025-28 period.

LGFA remains focused on delivering strong results for our council borrowers and shareholders.

For our borrowing councils and CCOs we seek to optimise funding terms and conditions by

- Achieving savings in borrowing costs
- Provide longer dated funding and
- Provide certainty of access to markets.

For our shareholders we are focused on

- Delivering a strong financial performance
- Monitoring asset quality and
- Enhancing our approach to treasury and risk management.

The following points regarding the 2025-28 SOI are worth noting:

- As with previous years, there remains uncertainty within the SOI forecasts relating to the amount of both council loans and LGFA bonds outstanding as this depends upon the magnitude and timing of council borrowing. The actual amount of borrowing will be influenced by the ability of councils to deliver on the capex projections in their Long Term Plans (“LTPs”), any cost increases as we well as the amount of Central Government assistance in funded capex delivery.
- The Local Water Done Well reform programme (“LWDW”) is progressing with the next key milestone being the publication of the Water Services Delivery Plans for each council. There remains uncertainty for the sector (and LGFA) as to the amount, timing and transition of assets, debt and revenue to the new water organisations. We have assumed that any impact from LWDW will start to occur in the last few months of the 2025-26 FY. For our council borrowing and bond issuance forecasting purposes we have used the 2024-34 LTPs from councils (that incorporate water related activities). The only adjustment made is that we have assumed that LGFA won’t be lending to financially independent water CCOs such as Watercare.
- We have made no assumptions regarding the impact to the SOI forecasts from the Ratepayer Assistance Scheme (“RAS”). LGFA has committed (subject to shareholder approval) to contributing towards the establishment and ongoing management of the RAS. It is too early to build any impact into the forecasts.

The changes made in the Final SOI compared to the Draft SOI that you received in February 2025 for comment have been:

- We have added a performance target relating to the LGFA Future Director Programme.
- Our forecasts for council borrowing are relatively unchanged with a \$200 million increase in forecast council borrowing in 2025-26 FY that is offset by a \$350 million reduction in 2026-27 FY. We have made no substantial change to our forecast LGFA bond issuance of \$5.15 billion (2025-26 FY) \$5.05 billion (2026-27 FY) and \$5 billion (2027-28 FY).
- The Net Interest Income forecast has reduced by \$200k, \$4.6 million and \$6.2 million in the 2025-26, 2026-27 and 2027-28 fiscal years due to a change in the assumed interest rate path and issuance spreads.
- Expenses are forecast to decrease by \$1.2 million in 2025-26 FY, \$1.1 million in 2026-27 FY and \$1.8 million in 2027-28 FY on a reduced usage of the NZDM liquidity facility.
- Forecast Net Operating Profit is forecast to increase in 2025-26 FY by \$1 million but reduce by \$3.4 million and \$4.3 million in the 2026-27 and 2027-28 fiscal years.

We remain committed to delivering the lowest possible borrowing cost to the sector, providing certainty of access to funding and long dated tenors to councils while at the same time protecting the interests of our guarantors and shareholders through maintaining a strong financial and capital position.

We thank you for your support of LGFA and please feel free to contact me if you have any questions or require further clarification on anything relating to the SOI or LGFA in general.

Yours sincerely



Mark Butcher
Chief Executive

4.2 Credit Rating Update

Meeting: Finance Committee
Date of meeting: 24 July 2025
Reporting officer: Alan Adcock, General Manager – Corporate / CFO

1 Purpose / Te Kaupapa

To inform Council of the updated credit rating report from S&P Global Ratings (S&P)

2 Recommendation/s / Whakataunga

That the Finance Committee receives the 2025 S&P Global Ratings credit rating report and notes that Whangarei District Council's credit rating is reaffirmed at AA with a Stable outlook.

3 Background / Horopaki

Whangarei District Council (WDC) uses the rating agency S&P to provide our credit rating, which allows LGFA, banks and other funders to determine the risks involved in lending to WDC and thus the interest rates our debt incurs. The better our credit rating, the less interest we are charged on debt.

In addition, the credit rating process provides a hardnosed independent commercial assessment of WDC's financial position, financial policies and management capability. This serves to provide evidence to Elected Members and ratepayers of the state of WDC's financial position and strategy.

In July 2025 S&P re-affirmed the credit rating for Whangarei District Council as AA with a Stable outlook.

4 Discussion / Whakawhiti kōrero

This is an excellent result given the difficult financial environment and the downward pressure on local government ratings across New Zealand. WDC is expected to be among the few that retain their current rating in this cycle.

Some key extracts from the report include:

Overview

- *We expect Whangarei District Council to maintain its exceptional financial management. The council will likely deliver large operating surpluses and have strong liquidity coverage over the next three years.*

- Meanwhile, Whangarei's debt-service coverage ratio will be weaker than in previous years due to an increase in debt maturities.
- We expect the council to run large deficits after capital accounts as it invests in infrastructure. Higher capital expenditure (capex) will push its total tax-supported debt beyond our prior forecasts.
- We affirmed our 'AA' long-term and 'A-1+' short-term issuer credit ratings on Whangarei.
- The stable outlook reflects our view that Whangarei will be able to raise revenues in line with growing expenses over the next two years at least.

Outlook

The stable rating outlook reflects our view that Whangarei's financial management will help it to raise revenues in line with growing expenses, such that it maintains strong liquidity.

Downside scenario

We could lower our ratings on Whangarei if we believe the council's financial management is weakening. This could result in operating surpluses not substantially improving as we forecast, widening deficits after capital accounts; or the debt-service coverage ratio being structurally below 80%.

Upside scenario

Upside pressure on the rating is unlikely. Still, we could raise our ratings on Whangarei if its deficits after capital accounts narrow materially, leading to stronger liquidity coverage and lower debt.

Rationale

We expect Whangarei's experienced management team to curtail growth in operating expenses, supporting a sharp improvement in operating surpluses over the next three years. This will keep deficits after capital accounts at about 16% of total revenues even as average capex rises.

We also expect management to maintain strong liquidity coverage. We expect Whangarei's debt-service coverage to settle at 80%-120% over the period. The coverage has reduced from past years due to a sharp increase in annual debt repayments from fiscal 2026 (year ending 30 June).

Increased spending on capital projects and higher cash holdings will likely push Whangarei's tax-supported debt beyond our previous expectations over the next three years. That said, the council's debt remains lower than that of most domestic peers.

Whangarei adopted its 2025-2026 annual plan on July 3, 2025. The plan is largely unchanged from the 10-year long-term plan adopted a year ago. The council increased its general property rates by 9.7% for 2026 and will seek to deliver operational efficiencies to meet rising expenses.

Like all New Zealand councils, Whangarei is governed by an elected group of councilors. The council left its financial strategy largely unchanged in its 2026 annual plan, and councilors broadly support the strategic direction. However, elections in October 2025 could affect the financial trajectory if elected officials scale back planned increases to rates revenue.

5 Conclusion

The reaffirming of WDC's AA (Stable) credit rating reinforces the prudent and fiscally responsible decisions made in setting the 2025/26 Annual Plan, which is the second year of the 2024-34 Long Term Plan.

It also sees the first objective in the plan being met, with one of the financial principles being that "Councils' credit rating should be actively managed with no further drops during the LTP term".

6 Significance and engagement / Te Hira me te Arawhiti

The decisions or matters of this Agenda do not trigger the significance criteria outlined in Council's Significance and Engagement Policy, and the public will be informed via agenda publication on the website.

7 Attachments / Ngā Tāpiritanga

Credit Rating Report August 2025

Research Update:

Whangarei District Council 'AA/A-1+' Ratings Affirmed; Outlook Stable

July 11, 2025

Overview

- We expect Whangarei District Council to maintain its exceptional financial management. The council will likely deliver large operating surpluses and have strong liquidity coverage over the next three years.
- Meanwhile, Whangarei's debt-service coverage ratio will be weaker than in previous years due to an increase in debt maturities.
- We expect the council to run large deficits after capital accounts as it invests in infrastructure. Higher capital expenditure (capex) will push its total tax-supported debt beyond our prior forecasts.
- We affirmed our 'AA' long-term and 'A-1+' short-term issuer credit ratings on Whangarei.
- The stable outlook reflects our view that Whangarei will be able to raise revenues in line with growing expenses over the next two years at least.

Rating Action

On July 11, 2025, S&P Global Ratings affirmed its 'AA' long-term and 'A-1+' short-term issuer credit ratings on Whangarei District Council, a New Zealand local government. The outlook on the long-term rating is stable.

Outlook

The stable rating outlook reflects our view that Whangarei's financial management will help it to raise revenues in line with growing expenses, such that it maintains strong liquidity.

Downside scenario

We could lower our ratings on Whangarei if we believe the council's financial management is weakening. This could result in operating surpluses not substantially improving as we forecast,

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widening deficits after capital accounts; or the debt-service coverage ratio being structurally below 80%.

Upside scenario

Upside pressure on the rating is unlikely. Still, we could raise our ratings on Whangarei if its deficits after capital accounts narrow materially, leading to stronger liquidity coverage and lower debt.

Rationale

We expect Whangarei's experienced management team to curtail growth in operating expenses, supporting a sharp improvement in operating surpluses over the next three years. This will keep deficits after capital accounts at about 16% of total revenues even as average capex rises.

We also expect management to maintain strong liquidity coverage. We expect Whangarei's debt-service coverage to settle at 80%-120% over the period. The coverage has reduced from past years due to a sharp increase in annual debt repayments from fiscal 2026 (year ending 30 June).

Increased spending on capital projects and higher cash holdings will likely push Whangarei's tax-supported debt beyond our previous expectations over the next three years. That said, the council's debt remains lower than that of most domestic peers.

Whangarei adopted its 2025-2026 annual plan on July 3, 2025. The plan is largely unchanged from the 10-year long-term plan adopted a year ago. The council increased its general property rates by 9.7% for 2026 and will seek to deliver operational efficiencies to meet rising expenses.

Higher debt maturities will weigh on liquidity coverage; large deficits and increased capex will drive up debt.

We estimate Whangarei will record deficits after capital accounts of 16% on average over the next three years as it ramps up capex. We forecast the council will deliver an average of NZ\$135 million of capex over this period, a 30% increase over the preceding three-year period.

Whangarei expects its annual capex to peak in fiscal 2028 as it commences new projects to facilitate population growth in the district.

Whangarei's operating surpluses should substantially improve and be very strong by domestic and global standards, averaging 27% over the next three years. We project growth in operating expenses will be flat over the period, based on the council's forecasts following the cessation of one-off costs relating to weather events in fiscal years 2024 and 2025.

A recent organizational restructuring and other cost savings measures will further support improvement in Whangarei's operating surpluses. The council will increase total revenues from property rates by more than 7% in each of the next three years to contain its deficits and temper growth in debt.

In our view, Whangarei has a higher degree of fiscal flexibility than its domestic and international peers. General property rates--the largest source of revenue for the council--can be readily adjusted to meet budgetary needs; these rates are relatively immune to economic downturns. In addition, we believe Whangarei could delay or reschedule some nonessential capex, if required, like it has done in the past.

Whangarei District Council 'AA/A-1+' Ratings Affirmed; Outlook Stable

We assess Whangarei's debt burden to be mid-range in a domestic context, but high in a global context. We estimate its total tax-supported debt will rise to 180% of operating revenue in fiscal 2028, from 150% in fiscal 2024. We expect interest expenses will average 6% of operating revenues during fiscals 2025-2027. Like most of its domestic peers, Whangarei sources its external debt through New Zealand Local Government Funding Agency Ltd. (LGFA).

Whangarei's contingent liabilities are minimal and do not weigh on its credit profile. The council has a 50% interest in Whangarei District Airport (the Crown owns the remainder), which has no external debt. Whangarei is one of 72 local authorities that provide a joint-and-several guarantee over LGFA's borrowings. We consider the likelihood of this guarantee being activated to be remote.

We expect the council's debt-service coverage ratio to settle at more than 80% over the next two-three years. Whangarei's large cash holdings and undrawn bank facilities underpin its liquidity strategy. The council's strategy to prefund debt maturities up to nine months in advance is also prudent, in our view.

An increase in Whangarei's annual debt maturities to NZ\$40 million-NZ\$60 million is weighing on its liquidity coverage compared to our previous forecasts. We estimate the council's total free cash--inclusive of term deposits, access to NZ\$30 million in undrawn standby facilities with Bank of New Zealand, and after-budget needs--is sufficient to cover about 46% of debt maturities and interest payments during the next 12 months.

Whangarei's debt-servicing needs comprise NZ\$58 million of term debt maturing in fiscal 2026; NZ\$10 million of short-dated commercial paper, which is regularly rolled over; and NZ\$14 million of annual interest expenses.

LGFA provides Whangarei with strong access to a well-established source of external liquidity, in our view. LGFA benefits from an extremely high likelihood of extraordinary Crown support, and it has helped councils to lengthen their maturity profiles and reduce borrowing costs.

New Zealand's institutional framework has weakened; a diversified local economy and strong financial management support creditworthiness.

The institutional framework within which New Zealand councils operate is a key factor supporting Whangarei's credit profile.

We believe the sector's revenue and expenditure imbalance has widened, and the predictability of its policy settings has weakened compared with the past. However, this framework remains strong relative to global peers, ranking the second-highest on our six-point scale (see "[New Zealand Local Governments Face Rising Fiscal Imbalances And Less Certain Policy Settings](#)," March 17, 2025).

Restrictive monetary and fiscal policies and a downturn in household and business spending weigh on New Zealand's growth. We forecast growth will pick up to 1.5% in 2025 after a small contraction in 2024 (see "[Economic Outlook Asia-Pacific Q3 2025: Resilience May Vary](#)," June 23, 2025).

Whangarei's local economy contracted by 1.5% in the year to March 2025, according to Infometrics, a New Zealand consultancy. The local economy has recorded negative GDP growth since June 2022, in part due to the closure of the Marsden Point oil refinery, which is being converted into an import-only fuel terminal. However, this has improved the economy's

Whangarei District Council 'AA/A-1+' Ratings Affirmed; Outlook Stable

diversification, with the reliance on the manufacturing sector falling significantly over the past two years.

In our view, Whangarei's demographic profile is slightly weaker than the national average. Its GDP per capita was about NZ\$59,000, 25% lower than the national average. Labor market outcomes remain in line with the New Zealand average, with unemployment rising to 4.9% in March 2025. The district had a population of 100,500 as of June 30, 2024, making it the eighth-largest district or city by population in New Zealand.

Whangarei's financial management processes are credible and well established. The council prepares 10-year long-term plans every three years, annual plans in the intervening years, and audited annual reports, in line with sectorwide requirements. The council's treasury risk-management policy sets limits on external borrowing, liquidity, and interest-rate risks. Whangarei can borrow only in local currency, in accordance with legislation.

Like all New Zealand councils, Whangarei is governed by an elected group of councilors. The council left its financial strategy largely unchanged in its 2026 annual plan, and councilors broadly support the strategic direction. However, elections in October 2025 could affect the financial trajectory if elected officials scale back planned increases to rates revenue.

Whangarei District Council Selected Indicators

(Mil. NZ\$)	2024	2025e	2026bc	2027bc	2028bc
Operating revenue	178	190	206	228	242
Operating expenditure	143	158	163	165	163
Operating balance	34	32	43	62	79
Operating balance (% of operating revenue)	19.4	16.8	20.7	27.4	32.6
Capital revenue	39	44	34	31	31
Capital expenditure	93	117	121	129	151
Balance after capital accounts	(19)	(41)	(44)	(35)	(40)
Balance after capital accounts (% of total revenue)	(8.8)	(17.5)	(18.4)	(13.7)	(14.7)
Debt repaid	38	20	58	54	43
Gross borrowings	69	70	117	91	86
Balance after borrowings	11	9	15	2	3
Tax-supported debt (outstanding at year-end)	265	295	354	391	434
Tax-supported debt (% of consolidated operating revenue)	149.2	155.0	172.2	171.7	179.4
Interest (% of operating revenue)	5.7	5.9	6.4	6.2	6.3
National GDP per capita (NZ\$)	79,218	81,370	83,911	86,545	89,309

The data and ratios above result in part from S&P Global Ratings' own calculations, drawing on national as well as international sources, reflecting S&P Global Ratings' independent view on the timeliness, coverage, accuracy, credibility, and usability of available information. The main sources are the financial statements and budgets, as provided by the issuer. bc--Base case reflects S&P Global Ratings' expectations of the most likely scenario.

Rating Component Scores

Key rating factors	Scores
Institutional framework	2
Economy	2

Whangarei District Council 'AA/A-1+' Ratings Affirmed; Outlook Stable

Rating Component Scores

Financial management	1
Budgetary performance	3
Liquidity	2
Debt burden	4
Stand-alone credit profile	aa
Issuer credit rating	AA

S&P Global Ratings bases its ratings on non-U.S. local and regional governments (LRGs) on the six main rating factors in this table. In the "Methodology For Rating Local And Regional Governments Outside Of The U.S.," published on July 15, 2019, we explain the steps we follow to derive the global scale foreign currency rating on each LRG. The institutional framework is assessed on a six-point scale: 1 is the strongest and 6 the weakest score. Our assessments of economy, financial management, budgetary performance, liquidity, and debt burden are on a five-point scale, with 1 being the strongest score and 5 the weakest.

Key Sovereign Statistics

- Sovereign Risk Indicators. An interactive version is available at <http://www.spratings.com/sri>

Related Criteria

- [General Criteria: Environmental, Social, And Governance Principles In Credit Ratings](#), Oct. 10, 2021
- [Criteria | Governments | International Public Finance: Methodology For Rating Local And Regional Governments Outside Of The U.S.](#), July 15, 2019
- [General Criteria: Methodology For Linking Long-Term And Short-Term Ratings](#), April 7, 2017
- [General Criteria: Principles Of Credit Ratings](#), Feb. 16, 2011

Related Research

- [Subnational Government Outlook Mid-Year 2025: Setting Sail In A Gale](#), July 2, 2025
- [Global Ratings List: International Public Finance Entities July 2025](#), July 1, 2025
- [Global LRGs Rating History List](#), June 24, 2025
- [Economic Outlook Asia-Pacific Q3 2025: Resilience May Vary](#), June 23, 2025
- [Various Rating Actions Taken On New Zealand Councils On Lower Institutional Framework Assessment](#), March 18, 2025
- [A Closer Look At Our Downgrades Of 18 New Zealand Councils](#), March 18, 2025
- [New Zealand Local Governments Face Rising Fiscal Imbalances And Less Certain Policy Settings](#), March 17, 2025
- [New Zealand Local Government Funding Agency Ltd. Ratings Affirmed; Outlook Stable](#), March 17, 2025
- [2023 Annual International Public Finance Default And Rating Transition Study](#), Aug. 20, 2024

In accordance with our relevant policies and procedures, the Rating Committee was composed of analysts that are qualified to vote in the committee, with sufficient experience to convey the

Whangarei District Council 'AA/A-1+' Ratings Affirmed; Outlook Stable

appropriate level of knowledge and understanding of the methodology applicable (see "Related Criteria"). At the onset of the committee, the chair confirmed that the information provided to the Rating Committee by the primary analyst had been distributed in a timely manner and was sufficient for Committee members to make an informed decision.

After the primary analyst gave opening remarks and explained the recommendation, the Committee discussed key rating factors and critical issues in accordance with the relevant criteria. Qualitative and quantitative risk factors were considered and discussed, looking at track-record and forecasts.

The committee's assessment of the key rating factors is reflected in the Rating Component Scores above.

The chair ensured every voting member was given the opportunity to articulate his/her opinion. The chair or designee reviewed the draft report to ensure consistency with the Committee decision. The views and the decision of the rating committee are summarized in the above rationale and outlook. The weighting of all rating factors is described in the methodology used in this rating action (see "Related Criteria").

Ratings List

Ratings list

Ratings Affirmed

Whangarei District Council

Issuer Credit Rating	AA/Stable/A-1+
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Certain terms used in this report, particularly certain adjectives used to express our view on rating relevant factors, have specific meanings ascribed to them in our criteria, and should therefore be read in conjunction with such criteria. Please see Ratings Criteria at <https://disclosure.spglobal.com/ratings/en/regulatory/ratings-criteria> for further information. A description of each of S&P Global Ratings' rating categories is contained in "S&P Global Ratings Definitions" at <https://disclosure.spglobal.com/ratings/en/regulatory/article/-/view/sourceId/504352>. Complete ratings information is available to RatingsDirect subscribers at www.capitaliq.com. All ratings referenced herein can be found on S&P Global Ratings' public website at www.spglobal.com/ratings.

Whangarei District Council 'AA/A-1+' Ratings Affirmed; Outlook Stable

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4.3 Financial Report for the 12 months ending 30 June 2025

Meeting: Finance Committee
Date of meeting: 24 July 2025
Reporting officer: Alan Adcock (General Manager – Corporate/CFO)

1 Purpose / Te Kaupapa

To provide the Treasury report for the twelve months ending 30 June 2025.

2 Recommendation / Whakataunga

That the Committee notes the Treasury report for the twelve months ending 30 June 2025.

3 Background / Horopaki

End of Financial Year

As we are at the end of the financial year, accruals and year-end adjustments will be performed as part of the preparation of the 2024-25 Annual Report. These adjustments will be made throughout July and into August. As a result, a full finance report has not been prepared for the 12 months ending 30 June 2025. Full year results will be communicated and presented to the Council as part of the 2024-25 Annual Report.

External Net Debt and Treasury

Total net external debt at the end of June 2025 was \$253.4 million compared to year-to-date budgeted net debt of \$258.2 million, resulting in net debt being \$4.8 million under budget.

As at 30 June 2025 cash and term deposits held of \$41.6 million was comprised of:

- \$22.0 million of term deposits relating to short term borrowings not yet required
- \$1.6 million cash on hand relating to contract retentions held
- \$18.0 million of cash on hand.

4 Accounts Receivable

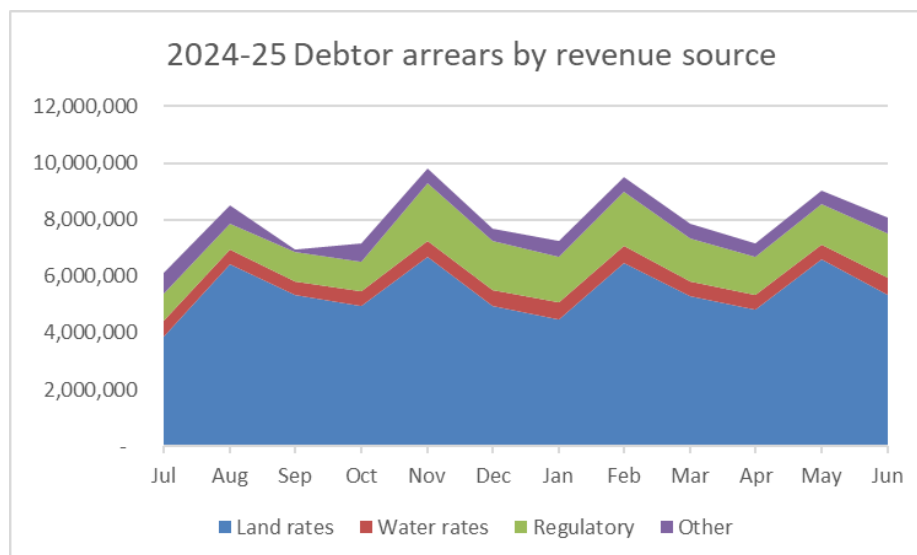
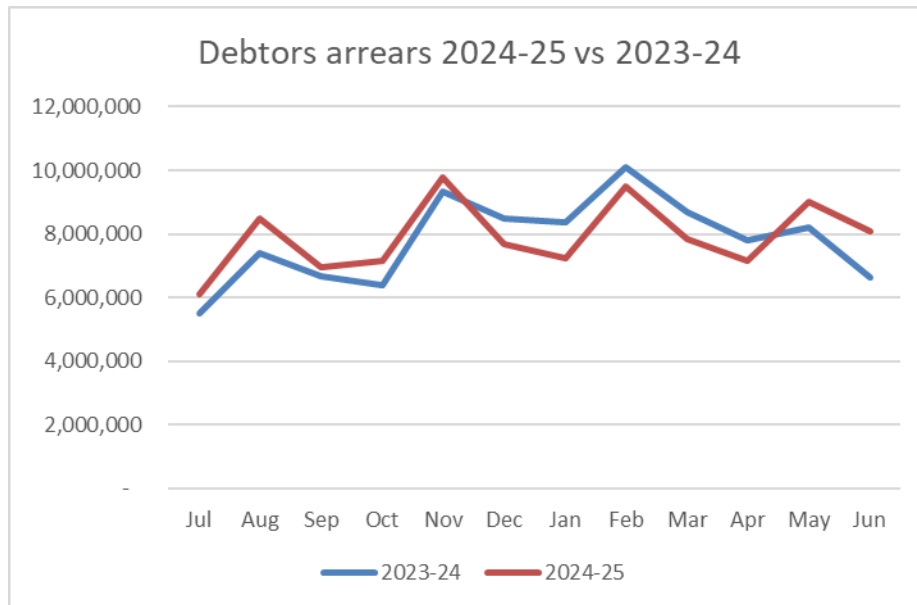
Total arrears as at 30 June 2025 are \$8.0 million, \$1.8 million more than June 2024, and \$1.0 million less than last month.

Land rates arrears are \$1.3 million less than last month and \$0.9 million more than June 2024. This equates to a 21% increase. There are 60 debtors with significant arrears, recovery will commence in the first quarter.

Water rates arrears are \$0.3 million, \$0.1 million more than last month and the same as June 2024.

Sundry debtors are \$0.3 million more than last month and \$0.9 million more than June 2024 (mainly regulatory debt).

Below is a graph comparing arrears against last year and by revenue source:



5 Financial/budget considerations / Ngā pānga pūtea/tahua

This agenda is informing the Council of the year end Accounts Receivable and Treasury position, there are no financial or budget considerations.

6 Significance and engagement / Te Hira me te Arawhiti

The decisions or matters of this agenda do not trigger the significance criteria outlined in Council's Significance and Engagement Policy, and the public will be informed via agenda publication on the website.

7 Attachments / Ngā Tāpiritanga

Attachment 1 – Treasury report

TREASURY REPORT 30 JUNE 2025



S&P GLOBAL RATINGS CREDIT RATING:

AA

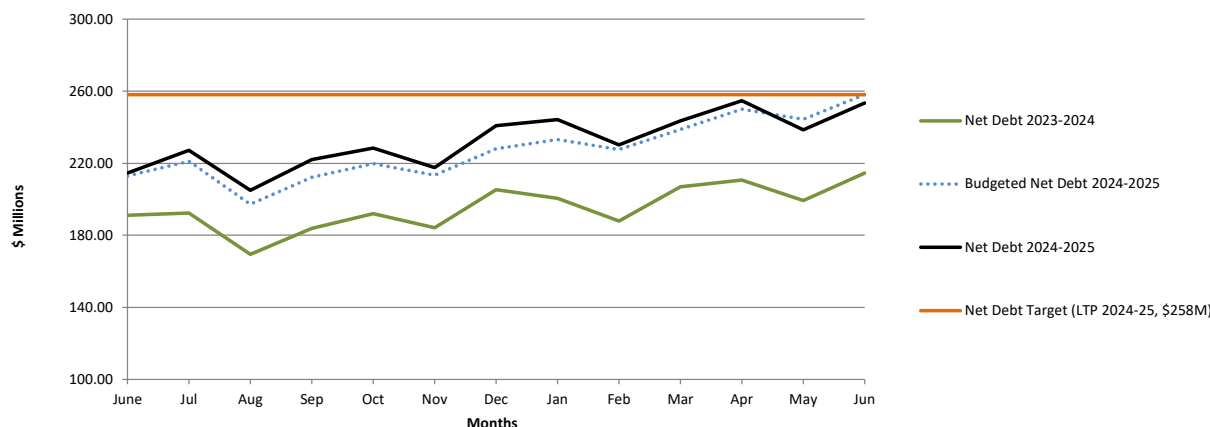
Outlook: Stable

DEBT SUMMARY:

As at 30 June 2025

External Debt		
Opening public debt as at 1 June 2025		295,000,000
Plus loans raised during month	-	
Less loan repayments made during month (Note: Facility movement has been netted)	-	
Net movement in external debt		-
Total External Debt		295,000,000
Less: Cash balances (excluding funds held on behalf)	19,577,740	
Term deposits (Funds held on deposit until required for project funding)	22,000,000	
Total cash and term deposits		41,577,740
Total Net External Debt		253,422,260
<i>Note: Council also holds \$6.0m of LGFA borrower notes. These are not included in net external debt as per Council's Treasury Risk Management Policy.</i>		
External debt is represented by:		
Less than 1 Year		68,000,000
1-3 Years		59,000,000
3-5 Years		100,000,000
Greater than 5 Years		68,000,000
Total		295,000,000

NET EXTERNAL DEBT COMPARED TO BUDGET:



Internal Funding* Reserve balances are indicative only and will be updated as part of the Annual Report/year end process

Community Development Funds		11,934,090
Property Reinvestment Reserve - Investment Property Purchases Budgeted for in Annual Plan	-	
Property Reinvestment Reserve - Committed (unbudgeted)	-	
Property Reinvestment Reserve Balance - no expenditure budgeted	19,249,580	
		19,249,580
Hikurangi Swamp		696,407
Waste Minimisation Reserve		1,084,134
Water Reserve		24,602,220
Wastewater Reserve		41,493,694
Total		99,060,127

*Note: Reserves Funding is disclosed to ensure transparency of Council's use of cashflow management to fund capital works.

Where funds are raised through property sales or targeted rates for Water, but they are not required for immediate investment in that asset category, Council's Revenue and Financing policy allows them to be used for other purposes, rather than being held on deposit.

To ensure total transparency of this we create Reserve Accounts so that the appropriate funding can be made available and transferred back when it is required. The timing of projects requiring these funds is set out in our Long Term Plan (LTP) and/or Annual Plan (AP).

These Reserves are not a liability to an external party, and are not part of Council's debt obligations.

The Property Reinvestment Reserve is split to record funds that have been already been committed to land purchases, and the remaining uncommitted balance that is available for other future investment purchases. This reserved is not cash-backed. Any purchase will result in increased debt unless there is budget for investment property purchases, or there have been investment property sales within that financial year.

The only situation where our Net Debt would increase as a result of these Reserves is if major expenditure on Water Assets or property purchases is brought forward from the dates set out in the LTP/AP.

4.4 Operations Report – Corporate Group – July 2025

Meeting: Finance Committee
Date of meeting: 24 July 2025
Reporting officer: Alan Adcock (General Manager – Corporate/CFO)

1 Purpose / Te Kaupapa

To provide a brief overview of work across functions and services that the Corporate Group is responsible for.

2 Recommendation / Whakataunga

That the Finance Committee notes the Corporate Group operations report for July 2025 which contains statistics up to 30 June 2025.

3 Background / Horopaki

The Finance Committee terms of reference list key responsibilities which include provision of an operations report from the Corporate Group.

This report provides a brief overview of some of the operational highlights across functions and services of the Corporate Group, including comment on some future planned activities. This report contains statistics up to 30 June 2025 and other narrative is provided as a general update.

4 Significance and engagement / Te Hira me te Arawhiti

The decisions or matters of this agenda do not trigger the significance criteria outlined in Council's Significance and Engagement Policy, and the public will be informed via agenda publication on the website.

5 Attachment / Ngā Tāpiritanga

Attachment 1 – Corporate Group Operations Report – July 2025 (statistics to 30 June 2025)

Operations Report Corporate Group

July 2025
(statistics to 30 June 2025)

Contents

1..... Management Update	3
2..... Information Communications Technology (ICT)	3
3..... Finance	7
4..... Revenue	10
5..... Business Support.....	13
6..... Property	19
7..... Communications	22
Appendix 1 - Social media (by top performing post)	28

1. Management Update

This report contains statistics up to 30 June 2025 and other narrative is provided as a general update.

1.1 Procurement Reporting – Contracts Approved Under Delegated Authority

Only one new contract has been awarded in this period this period.

Finance Department

Deloitte's Audit Proposal Letter included audit fees of \$460,792 for the 2025-26 annual audit. This fee was discussed in the Risk and Audit Committee, with the signed Audit Proposal Letter returned to Deloitte in June.

1.2 Current Priorities and Challenges

The challenges and priorities for the Corporate Group are outlined in the report under each department. In summary, the main issues are:

- finalising the 2025/26 Annual Plan
- preparing for our annual audit and preparation of the @024/25 Annual Report
- setting the new rates for 2025/26
- contributing to work on the Water Services Delivery Plan
- implementation phase of several ICT projects
- working with ratepayers to minimise rates arrears, and
- managing ongoing operational cost pressures.
- handling significantly higher customer interactions along with ever increasing numbers of transactional processing

2. Information Communications Technology (ICT)

2.1 Current Priorities and Challenges

Our current priorities are the successful rollover of fees and charges for the new Financial year, ensuring Council is well supported across this period.

The ICT team is committed to ensure stability of systems, with a focus on prioritising key areas of Council that may need urgent ICT support.

Continuous improvement in our review of Systems and Applications is proving the difference in how we are managing escalating costs from our vendors. The 9 renewals completed in June resulted in small savings of \$17,000 per annum, and we are focused on ensuring we are identifying cost reductions early to ensure prudent spend.

The User Support, Systems Engineering and Architect teams have been working on resolving the resilience issues we have been experiencing across our Meeting Room systems. When the solution was originally procured, there was a global shortage of equipment due to COVID 19 and alternatives were implemented to have these systems working. The vendor has agreed to replace the hardware and increase the resilience of the system on terms that are favourable to Council.

2.2 Operational Activities

The ICT team is focused on supporting Council through end of year activities, deploying new IT infrastructure across Council premises, and continuing to execute and deliver projects in line with the Long Term Plan.

A key item that is in the final stages of review is a new ICT Handbook that outlines what our function is within Council, guidelines about what is required of all people using Council ICT systems and technology, with directions for support, training and assistance. This Handbook has been written in plain English and will be circulated once it has progressed through appropriate channels for approval.

Procurement

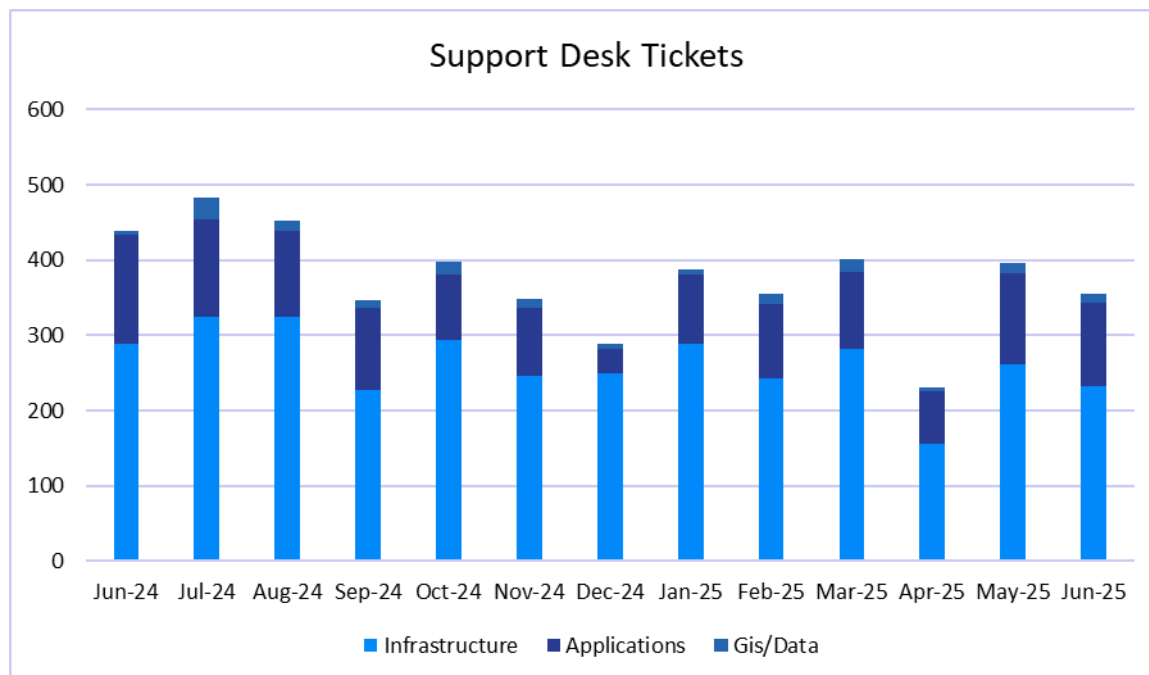
In June, we reviewed and completed 9 Software and Contract renewals and achieved a cost reduction of \$17,231 per annum.

ICT End User Support

Business as usual

The User Support team's focus has been on the financial year end rollover of fees and charges.

We've also been working closely with NorthCloud to evaluate the service desk team. This includes clarifying roles and responsibilities, aligning expectations, and reviewing access and internal controls to strengthen our operational integrity.



Eight new staff members joined Council during June and ICT provided induction and co-ordinated training as needed.

ICT Systems Engineering

Managed Events/P1 Incidents for the month

A power outage within Whangarei caused additional issues with some of our meeting room equipment on Level 1 at Te Iwitahi. Our vendor has only been able to rectify 75% of the meeting rooms. Replacement controllers are scheduled to arrive in early July that will hopefully address the

issues we have experienced within Chambers and also across the other meeting rooms with additional resiliency in the form of hot standby equipment.

Availability Management

All systems at our Datacentre remained operational.

Business as usual

The Systems Engineering team has been working with our vendors upgrading Firewalls and Networking devices around the District. Very well planned and executed changes have resulted in a seamless transition.

Information Management

Business as Usual

- A new scan profile has been set up to allow ad hoc digitisation of bulk files
- Staff attended Purview training to help increase knowledge of applying disposal and sensitivity labels to records and information
- Old project numbering has been upgraded to fit with the current way – this ensures web links work
- The Falcon scanner used for digitising large format records requires repair which will reduce scanning capacity for a couple of weeks
- One of our small format scanners requires maintenance to ensure top quality images can be produced, the vendor has been engaged to carry out this work
- Cataloguing of infrastructure as-built plans is underway. This work will be ongoing for many weeks and will allow accurate metadata to be stored against each plan to respond to customer access requests

ICT Projects

TechOne's Ci to CiA Transitions 1b has entered the third round of system testing this month. The team has made substantial progress to reach this stage. While we are making headway, there is still a considerable amount of work that remains to be done. A notable milestone will be the integration of DXP payments with the new CiA Infringement module, which is scheduled to go live in October, ready for the New Year.

LEGEND:  NOT STARTED  ON TRACK  GOING OFF TRACK  OFF TRACK

Project Name	Phase	On Schedule	On Budget
PLM (Project Lifecycle Management)	Closed		
• Closing activities continuing • Change Process for final reporting configuration completed • Project closed 30th June			
Windows 11 Deployment (W11)	Execution		
• Migration to Windows 11 almost complete, with special computers remaining (Elected Members) • Project is on track to close before Windows 10 end of support deadline of 14th October			
TechOne – NA (Data preparation for Transitions)	Execution		

- Name amalgamation is underway to de-duplicate records from the Request System - Instructions for In Line Name matching is currently being tested. Implementation planning for production to follow - Bulk updating of Te Kamo has now been processed			
TechOne – DXP	Closing		
Support handed over to BAU Future DXP implementation to continue with Phase Two – Payments which is expected to Go Live in line with TechOne – Ci to CiA Transitions 1b			
TechOne – Ci to CiA Transition 1b	Execution		
System Testing Round 3 in progress As previously reported, the Programme of Work for TechOne Transitions is currently not at risk, remaining on Budget and still within the projected timeframe			
Alpha One Build Integration	Execution		
- Findings and recommendations presented back to Key Staff - Single Code Compliance Certificate (CCC) document currently being tested and Objective has been engaged to help			
HRIS – Talent and Succession	Execution		
- Project has now been officially kicked off - Requirements workshop has been planned for 3rd July - Timeline and milestones to be agreed with People & Capability			
Firewall Replacement	Execution		
- Firewall hardware has been completed - Review and documentation underway			
Rendezvous Replacement	Execution		
Options paper under review			
Flowingly - ProMapp Replacement	Initiation		
- Completing user security setup tasks - Extracting and archiving processes within ProMapp			
Cemetery Record digitisation	Execution		
- Contracted vendor has processed the first batch of records - Internally we are working through how these new digital records are integrated into Council's systems			
Telecommunication Contracts Procurement	Execution		
- The review of current telephony contracts is complete - Preparation of Contract review is in process			

3. Finance

3.1 Current Priorities and Challenges

Key priorities this month include:

- Finalising 2025-26 Annual Plan budgets
- Commencing preparation of the 2024-25 Annual Report
- Interim audit for the year ended 30 June 2025
- End of financial year
- Assisting with financial modelling for Local Waters Done Well
- Input into various agendas across Council's businesses.

Key challenges this month include:

- End of financial year roll-over and set-up

3.2 Operational Activities

2024-25 Financial Year

While the 2024-25 has come to close, several accounting adjustments, accruals, reconciliations and valuations are now being worked through. Because of this work the standard financial report for the 12 months ending 30 June has not been included within this month's Finance Committee agenda.

Full year results will be shared as part of the preparation of the Annual Report. Due to elections, this information may be provided through either the Finance Committee, Risk and Audit Committee, and/or information agendas. Management will endeavour to keep Elected Members abreast of progress throughout the audit process.

2025-26 Annual Plan

The Deliberations meeting on 18 June provided Finance staff with the direction to complete the financial model and finalise deliverables for the Annual Plan.

The cumulative impact of adjustments made to the budget, such as lower Stormwater targeted rates and the timing of capital grant payments, means Council is not budgeting to achieve the Financial Prudence balanced budget benchmark for the 2025-26 Annual Plan.

The Annual Plan was adopted on 3 July 2025. Once the 2024-25 capital spend has been confirmed, carry forwards will be finalised and incorporated into the revised budget. The revised budget will then be phased by the business ready for 2025-26 reporting.

Approach to Unbudgeted Spend

During the Annual Plan budget setting process, several high-risk budget items were identified where budgets may be insufficient. This highlighted the need for Management reaffirm the approach to managing unbudgeted spend. With the introduction of more detailed variance reporting to SLT (as well as Finance Chair and Deputy Chair), and the new functionality to move budgets for capital items, we have improved transparency to encourage a robust approach to managing budgets.

The below summary provides high-level guidelines budget managers to ensure a consistent approach for the new financial year:

Opex Budgets:

Step 1: where possible spend should be funded within existing budgets within the department.

Step 2: where an offset cannot be identified within the department, the Department Manager (DM) must discuss with the General Manager (GM) to identify an alternative budget source within the group to fund the expense.

Step 3: where an offset cannot be identified with the group, the relevant GM must discuss with SLT to determine whether savings can be found or budgets reprioritised without a significant impact, at a council level.

Any offsets identified during steps 1-3 will need to be communicated between the relevant DM's and reflected in the forecast ledger with appropriate comments.

Step 4: This should be treated a last resort option. Where no offset is possible a Council agenda must be prepared. The agenda should include options such as:

- proceed with unbudgeted spend including impact on balanced budget and cash/debt (not the preferred approach)
- re-prioritisation of existing budgets with a more significant impact. This option should include any impact on service delivery or what we are going to sacrifice/stop doing. This is to ensure Elected Members are aware of any opportunity cost of a budget reallocation.
- The agenda should include any risks and future impacts (i.e. whether the spend is a one-off or an annual requirement).

Step 5: When all other avenues have been exhausted and Council ultimately approves unbudgeted spend via a Council agenda, Finance will maintain a register of all Council approved unbudgeted spend to report periodically to the Finance Committee.

Capital Budgets:

The approach to capital budgets will follow a similar approach:

Step 1: Existing budgets within the LTP Activity should be reviewed and re-prioritised to fund the project. This reallocation must also consider existing budget splits between renewals/levels of service/growth.

Once approved (either via GM or Council depending on delegation) a budget transfer should be requested to move the budget to the correct PJ. This should be the preferred approach.

Step 2: Consider whether existing capital budgets can be brought forward? Ideally this should be within the first 3 years of the LTP cycle and also consider Council's overall debt position compared to budget.

Any risks/opportunity cost of a budget reallocation or move should be included within the Council agenda. Council agendas need to provide options and alternatives for funding.

Step 3: As a last resort, an agenda may include an option to requested unbudgeted spend however this should be by exception when existing budgets are not suitable to be used (for example Kapa Road)

It is envisaged that these guidelines will help to encourage strong financial discipline and minimise significant deviation from budgets wherever possible.

End of Financial Year Rollover

The end of financial year brings with it several changes and processes that need to be run in order to roll-over ledgers ready for the new financial year. Finance and ICT perform these processes together on the evening of the 30 June 2025. Systems were up and running ready for the business on the morning of 1 July. Achieving this process with no system downtime is a great achievement indicating a well-run process. While there were some minor hiccups along the way, these will be used as learning experiences to further improve on the process going forward.

2025-26 Fees and Charges

2025-26 Fees and Charges subject to consultation were adopted at the June 2025 Council Meeting. New charges become effective from 1 July 2025.

2024-25 Annual Report and Audit

Preparation of the 2024-25 Annual Report has commenced with several end of year adjustments, reconciliations and valuations under way. This work will continue in anticipation of the final audit scheduled to commence from mid-August through to October. Interim results will be provided to Elected Members in due course.

4. Revenue

4.1 Current Priorities and Challenges

Priorities:

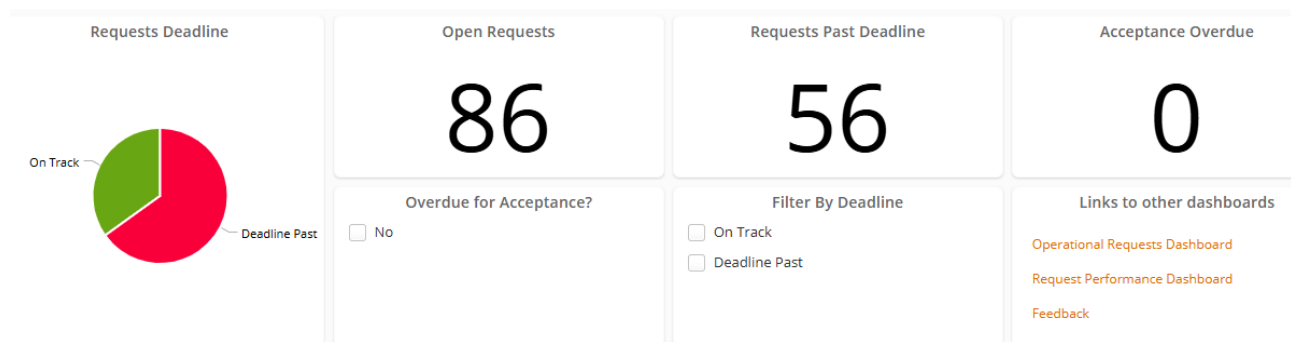
- 2025-26 Annual Plan – final Funding Impact Statement following Council Deliberations
- 2025-26 Rates Resolution
- Year-end and year-start tasks
- 2024 General Revaluation objections
- 2024-25 Annual Report audit.

Challenges:

- Managing increased workload while maintaining a high level of customer service
- Debt collection.

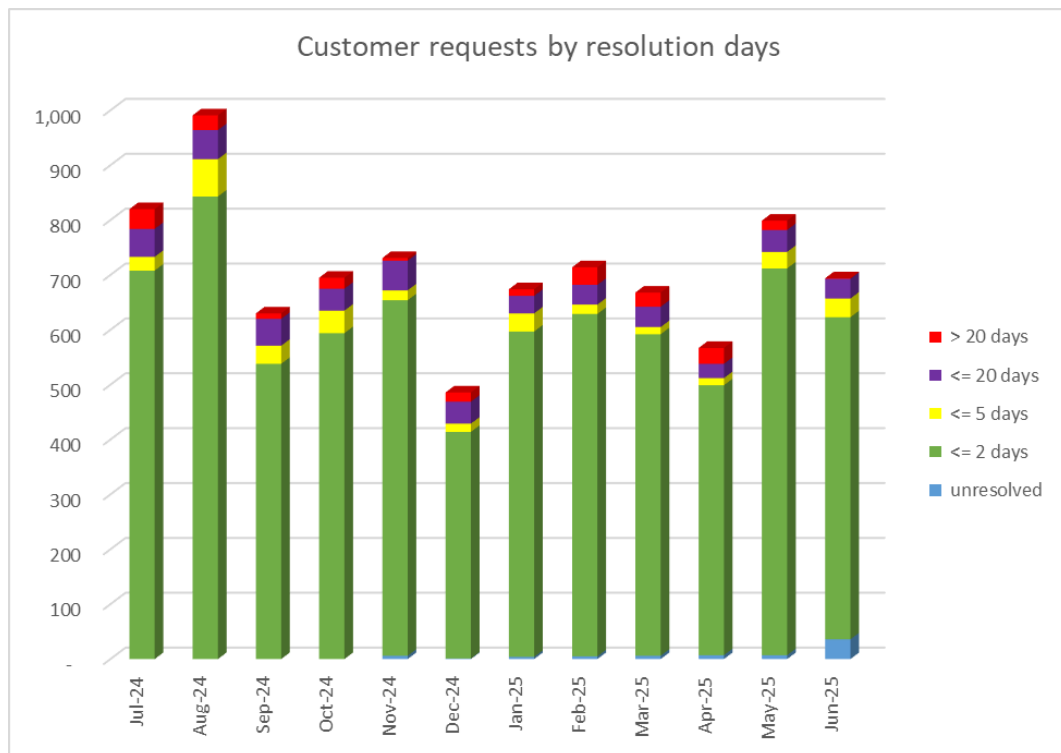
4.2 Request System Dashboard:

1 July 2025:



There were 694 online customer service requests received in June which is 290 more than last year. The 86 unresolved requests are: 6 - July, 36 - June, and the remaining 34 are valuation queries. The 56 requests past the deadline, comprise valuation queries for which Opteon has not been able to respond, we expect these to resolved in July.

There were 8,469 service requests received during 2024-25, a 23% increase from the previous year and an average of 700 per month. The team has managed to maintain an excellent customer service level, the requests taking more than 20 days to resolve are mainly those requiring valuers' expertise. The below table shows the team's response time with 90% being resolved with 2 days:



4.3 Team Activities

Projects

The focus during June, was:

- 2025-26 Annual Plan – preparing the rates section for the Annual Plan and the 2025-26 rates resolution. These were both reviewed for legal compliance to reduce risk of challenges to the rates and internal checks.
- 2024-25 Audit – responding to auditors' requests for information.

Operations

There were 198 property sales in June, 2,338 for the year which is 17% higher than 2023-24 and 10% higher than 2022-23.

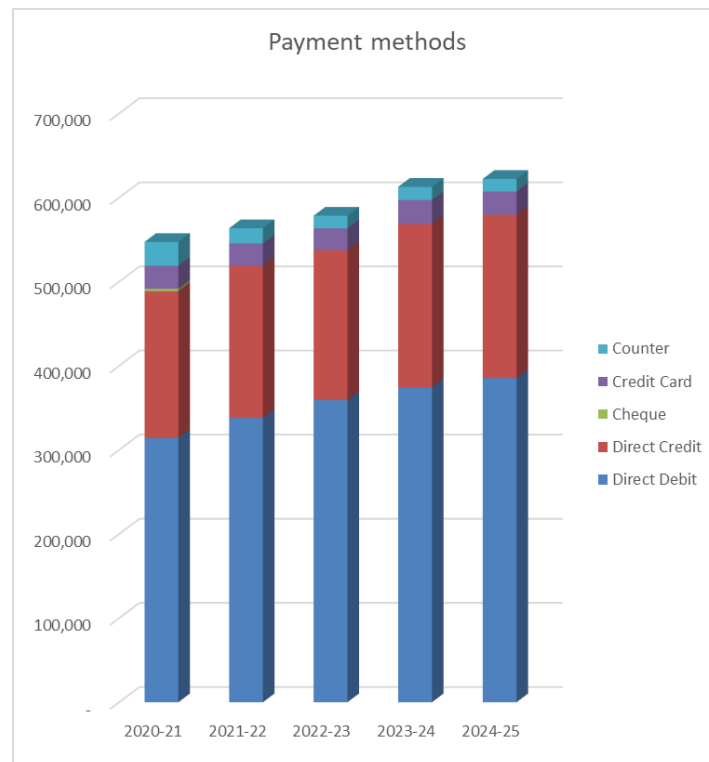
Water rates billing in June was higher than forecast.

Customers benefited from 514 water leak remissions (\$539,000 GST exclusive) during 2024-25, there were a further 88 applications declined. This is similar to the 2023-24

Payments

The dog licenses were sent to dog owners mid-June and like last year, by 2 July, 25% of the licenses have been paid. The trend is towards more contactless payment, with only 19% of licenses issued at our or Armourguard's offices, compared to 27% last year. The team is managing to envelope and post the tags despite the increased online volume.

The team processed over 600,000 payments this year. There were 1.5% more payments than last year and the way customers are paying has changed: direct debit payment arrangements increased 2.5% (our preferred payment method) to 62% of payments (from 61%), while internet banking stayed steady, counter payments decreased 5%, and credit card payments decreased by 2.5%. Historically, customers pay by credit card when they are struggling financially so the decrease is somewhat unexpected. The below table shows the trends over the last five years.



Collection activities

During 2024-25 there were 3,335 rates rebates, with \$2.44 million processed; compared to 3,371 for \$2.36 million in 2023-24 (36 fewer rebates). The last days of June were challenging as we received 68 application which needed to be entered into the Department of Internal Affairs “ERMS” system before it was retired on 1 July.

The number of properties with land rates outstanding reduced, by 1578 during June due to the team’s collection activities. Excluding whenua Māori, prior years arrears are \$120,000 (32%) more and current years arrears are \$1.2 million (35%) more than 30 June 2024.

Excluding whenua Māori, there are 20 properties, owing more than \$10,000 for 2024-25 rates, 13 businesses, 5 farms (one ratepayer refusing to pay rates) and 3 residential properties. They owe \$602,000 for current year rates and \$69,000 prior years (3 of 20 properties).

Excluding whenua Māori, there are 39 properties, owing \$5,000-\$10,000 for 2024-25 rates, 13 businesses, 9 farms and 17 residential and lifestyle properties. They owe \$259,000 for current year rates and \$91,000 prior years (9 of 39 properties).

5. *Business Support*

Business Support activities have continued smoothly throughout the reporting period, with core services delivered. Teams have operated well despite staffing shortages.

Routine building maintenance remains on schedule. Preventative maintenance is ongoing and to reduce reactive repairs and support a safe, efficient working environment.

The fleet review is in progress, focusing on vehicle condition, usage efficiency, and projected service and capacity requirements. The goal being to provide a functional and cost effective fleet for Council.

Procurement activity has remained strong, and the internal audit is currently underway. Once completed we will review the findings and look to make any necessary changes to our Policy and Manual before publishing and re-educating staff.

5.1 *Current Priorities and Challenges*

Current priorities include:

- Review of CCTV across Council sites
- Fleet Review including Policy, Safe Driver Guidelines, Leadership Policy, and Fleet Utilisation
- Security and Related Services Procurement.

Current challenges include:

- Inclement weather.
- Absences of both staff and contractors.

5.2 *Operational Activities*

Facilities

Business Support team has had a busy month but has delivered strong business-as-usual outcomes ensuring business continuity.

Business Supports review of the Council's CCTV systems, excluding roading-related infrastructure, is underway and making progress. The goal of this review is to ensure consistency across Council and to deliver the service in a more cost effective manner. This is a significant piece of work and is expected to take some time to complete with the current resourcing available.

The Security and Related Services contract has expired and work is ongoing to get out and test the market for suppliers.

Procurement

Procurement activity continues to remain high, with the Procurement Advisor providing ongoing support for routine purchasing requirements across the organisation. In parallel with day-to-day operations, Council has been participating in early-stage discussions regarding the development of a Northland Regional Procurement Strategy. Still in its early days, this strategy has the potential to deliver better outcomes for the wider community.

An internal audit of Council's Procurement Policy and Manual is currently in progress. This process ensures that Council's procurement framework remains compliant, effective, and aligned with best practice. The findings from this review will inform the revision of the existing policy, which is

already in draft form but may undergo preliminary amendments based on the audit's recommendations before being submitted to Elected Members for their input.

In reviewing the policy it is important to consider whether any areas of concern relate to the policy itself, or how it is being used by those undertaking procurement activities i.e. is the policy being used in the most effective way?

Procurement and Contract Management Clinics have been established offering walk-up support to the organisation to further support operations.

Key Activities:

Internal

- Providing general advice and support to staff involved in procurement-related projects
- Providing procurement workshop training to staff
- Providing Drop-in sessions for procurement questions from staff
- Attended ongoing Civil Defence training – Response Manager function
- Supporting the Business Support Department in reducing cost and adding value
- Commenced Travel Policy review
- Supporting CCTV review.

Strategic

- Preliminary discussions regarding software to manage procurement processes.

Major work streams in procurement in June have included:

Service/Good Being Procured	Detail	Procurement Commencement Date	Business Owner	Date Advertised on GETS	Expected End Date
Security and Related Services	Security services including cash in transit, guard services and alarm monitoring	To be determined	Business Support	To be determined	To be determined
Library Flooring upgrade	To procure replacement flooring for high traffic areas	February 2025	Library/Property	Closed tender	June 2025
Pensioner Housing Tenancy Management Services	To procure tenancy management services for pensioner housing assets	June 2024	Community	06 March 2025	June 2025
Cellular Services	Mobile services including connections serving voice, wireless connections for critical services (pump sensors, traffic lights, CCTV)	To be determined	ICT	To be determined	To be determined
Pensioner Housing	Grounds maintenance of	April 2025	Community	23 April 2025	July 2025

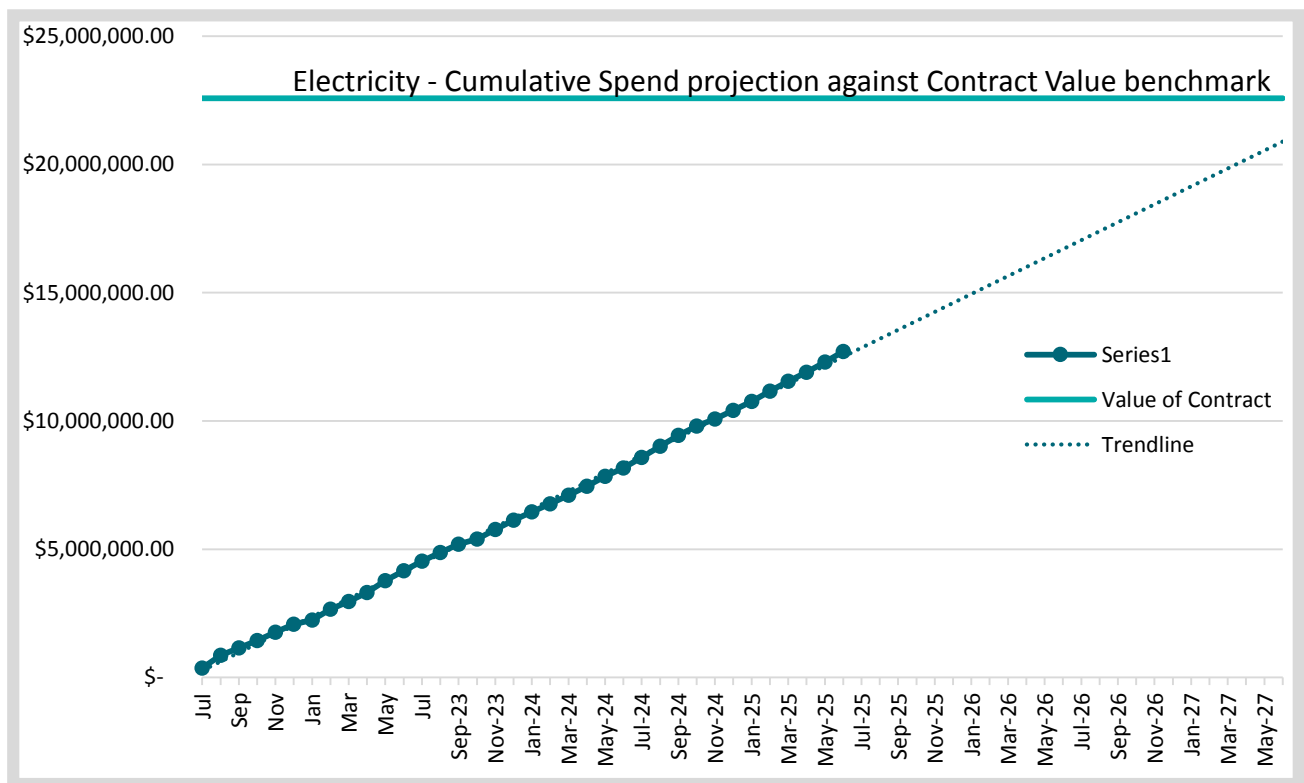
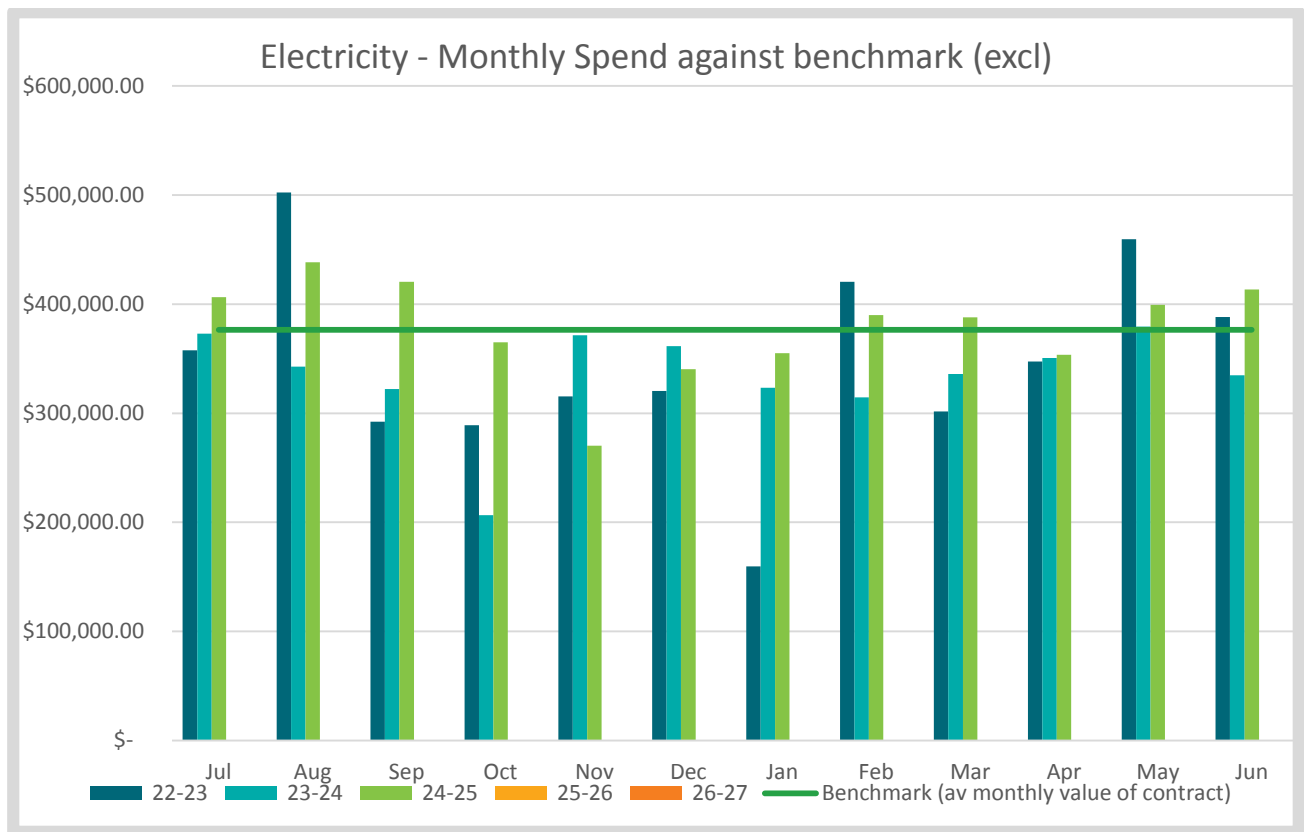
Service/Good Being Procured	Detail	Procurement Commencement Date	Business Owner	Date Advertised on GETS	Expected End Date
Grounds Maintenance	Pensioner housing assets including mowing and gardening				
Tracks and Walkways	Maintenance of Council's 63 tracks and walkways including associated assets	April 2025	Parks	22 April 2025	July 2025
Rating Database and Valuation Service Provider	Services related to maintaining the rating database and revaluations	To be determined	Revenue	To be determined	To be determined
RMA Commissioner Services	Renewing the panel of independent Planning Commissioners	May 2025	RMA Consents	23 May 2025	July 2025
Coastal Structures	Maintenance of coastal structures	To be determined	Parks	To be determined	To be determined

Electricity Contract

The Electricity Supply Contract with Meridian now has 36 months of supply information available. This data has been charted at a high level to monitor total spend to date against expected cost. As shown in the charts below, projected spend is currently within expected cost over the five-year term of the contract. At this point in the contract term, it is expected that the costs will remain under those allowed for, driven in part by a more energy efficient office building and solar input.

It is important to bear in mind that there are a number of variables that influence spend that are not predictable and cannot be accurately accounted for in advance or controlled by Council. These influencing factors include:

- Line charge fluctuations.
- Rainfall, weather events and seasonal fluctuations whose effects include:
 - Pumping from rivers in dry years
 - Pumping for the Hikurangi Flood Management Scheme during flood events
 - Additional flow to WWTP in high rain events.
- Time of Use (TOU) charges
 - What time of day large plant is running at high capacity
 - TOU charges vary between months and years.

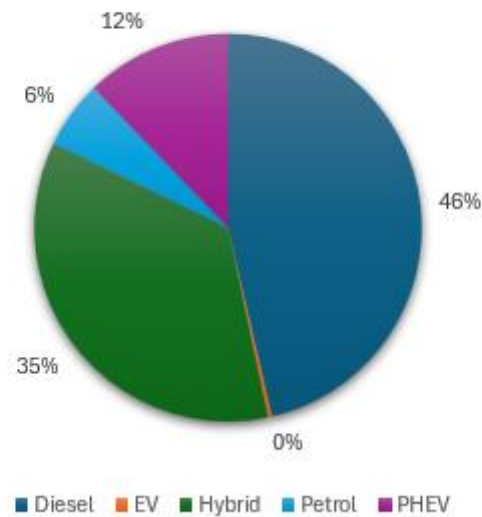


Fleet Activity

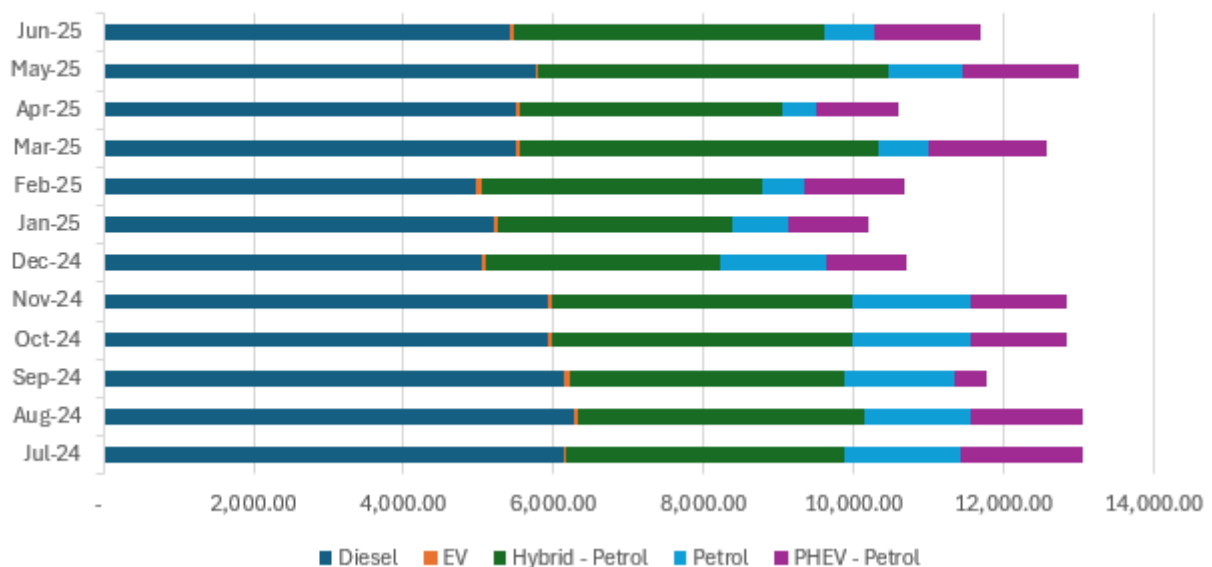
In June the fleet travelled the distance of 75,319 kms.

The total fleet emissions for the specified period amounted to 11,692 kg of CO₂ equivalents (CO₂e). A decline in the number of diesel vehicles is now evident, as reflected in the reduced emission percentages shown in the graph below.

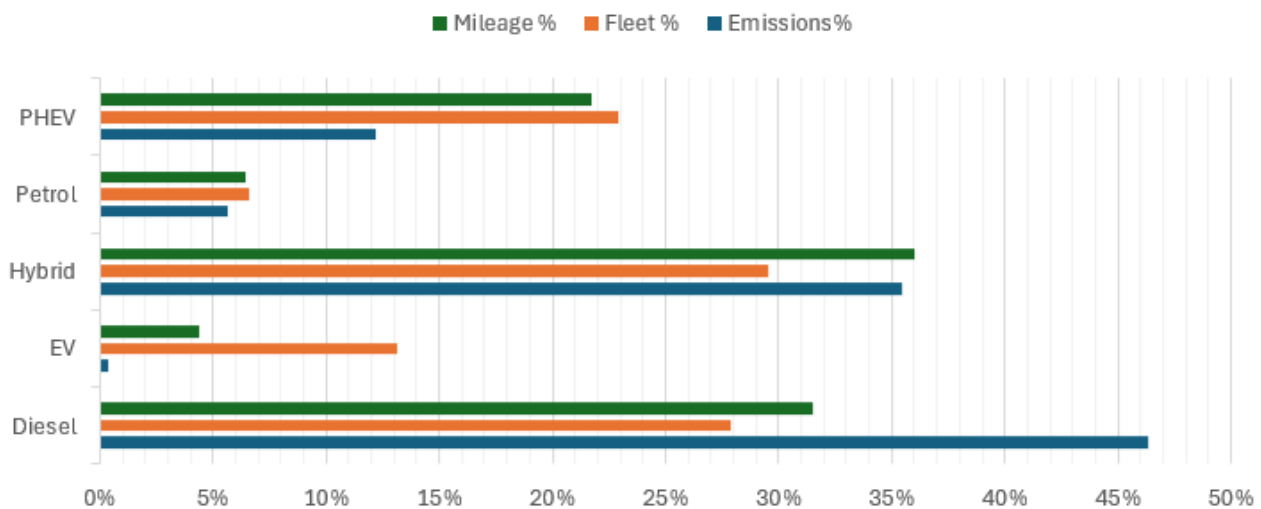
Fleet Emissions June 25



Comparison of Emissions per month



Fleet Emissions and Km Travelled by energy type June 25



Our hybrid and diesel vehicles cover the highest mileage, as they are primarily assigned to departmental or dedicated roles based on specific operational requirements.

We plan to replace some of our petrol and diesel vehicles with plug-in hybrid electric vehicles (PHEVs) as they become available. This transition will further contribute to reducing our overall emissions.

Our current fleet comprises 61 vehicles in total:

Diesel	17
EV	8
Hybrid	18
Petrol	4
PHEV	14

Business Support are currently looking at all of fleet utilisation. The purpose of this is to ensure that the fleet size is at the most efficient level. While there are frequently times where all fleet vehicles are booked, there are also times that multiple vehicles are sitting idle. Understanding how and why staff are using the fleet may present opportunities to reduce the size of the fleet and reduce overall costs without disruption to service delivery.

6. Property

6.1 Current Priorities and Challenges

Current priorities include:

- Bedding in a new department structure and aligning responsibilities with new structure
- Development of reporting on Commercial Property portfolio
- Reduction in debtor arrears
- Invoicing of tenant outgoings for year end 30 June 25
- Asbestos removal following surveys of priority sites
- Tenanting of vacant commercial premises
- Renewal of leases and licences – Commercial and Community
- Recruitment of two vacant roles (Property Advisor and Asset Planning Advisor).

Current challenges include:

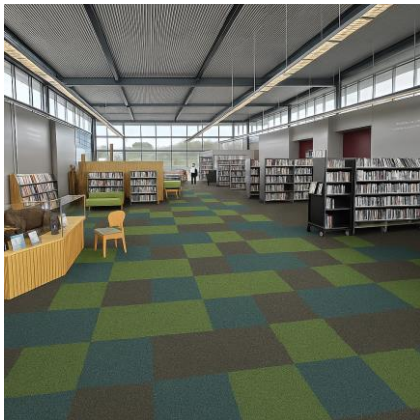
- Resourcing continues to be an issue while we have two people absent during the move due to illness and are still recruiting for two vacant roles.

6.2 Operational Activities

Facilities Maintenance

Highlights for the team were:

- Asbestos Survey Project.
 - 11 properties had medium to high-risk asbestos requiring removal or encapsulation.
- Awarding of the Pensioner Housing Tenancy Services Contract which will commence on 1 July 2025.
- Central Library Re-Carpet contract implementation (see image below)



- Safety interlock switches and mechanical ventilation are being retrofitted to the gas boiler system at Botanica to improve operational safety.
- Intensive cleaning and painting of the Central City Carpark will commence in August.

Projects

Name/Location	Details	Asset Owner/ Sponsor	Status	Estimated Completion
Community Buildings	Condition Assessment	Property	In Progress	31/8/2025
Old Municipal Building	Liaison with Project Manager on rebuild, manage tenant application process, relocate tenants as required	Community Development	In Progress	31/12/2025
Central Library	Replacement of Carpet	Property	In Progress	31/8/2025
Pensioner Housing Grounds Maintenance	Procurement to appoint contractor for all pensioner Housing portfolio	Community Development	Complete	
Town Basin 1 Restaurant	Floor repair after underfloor leak - Insurance Claim	Property-Commercial	In Progress	1/8/2025

Tenancy Management

The Tenancy Management portfolio continued to progress operational improvements and lease coordination during June, with a particular focus on preparing annual cost recoveries for distribution by 30 June. This included cross-team collaboration and analysis of recoverable costs across the portfolio.

Key activities this period included:

- **Annual Cost Recovery Process:** Preparatory work to support annual cost recovery calculations and issuing of letters to tenants, ensuring alignment with lease terms and financial deadlines.
- **Lease Lifecycle Management:** Ongoing support for lease finalisations, including a recent surrender and new lease arrangement. Internal coordination also advanced to support short-term leasing needs and community space enquiries.
- **Governance and Planning:** Contributions continued towards the Whangarei District Airport Statement of Intent (SOI) finalisation process and engagement with external agents regarding upcoming vacancies and leasing strategies.
- **Insurance and Budget Reviews:** Participated in discussions on insurance cost allocations and supported internal reviews of budget planning and coding across tenancy-related cost centres.
- **Cross-Departmental Support and Lease Coordination:** The Tenancy Management team continues to support other Council departments, including Community, Transportation and Parks and Reserves, by assisting with lease documentation for redevelopments and required public notifications under the Reserves Act. Broader lease pipeline monitoring and support also ensure readiness and timely progression of agreements.

Commercial Leases and Licences

The Property team is currently managing 27 active lease-related matters across the commercial portfolio. These span the full lease lifecycle, including new agreements, surrenders, renewals, rent reviews, and variations. In addition, 15 airport leases are being managed, each at a different stage of progression.

New Leases

21 new lease matters are currently in progress, including:

- 2 Leases and licences in finalisation stages following earlier coordination
- 6 licences actively being processed

Lease Surrenders

3 lease surrender requests are under review, including:

- 2 surrenders nearing completion

Lease Renewals

- 7 lease renewals are underway, each with an associated rent review

Renewals with Variations

- 2 renewals include variations to lease terms

Rent Reviews

- 2 standalone rent reviews are currently underway

Lease Variations

- 1 lease variation is in progress
- Additionally, 1 rent review includes a variation component

Parks and Reserves Leases and Licences

New Lease Developments

- A Notice of Intent for the redevelopment of clubrooms was approved by Council. Work is underway to prepare relevant lease clauses and conditions.
- Public notification for a proposed lease to a new sports club on reserve land was completed.

Current Lease and Licence Activity

- 2 new licences in progress
- 6 new leases in progress
- 7 leases on hold due to dependencies such as start dates, building upgrades, assessments, or pending club information – all are being actively monitored
- 3 new leases ready to commence
- Additional lease actions include 1 variation, 1 renewal, and 3 new leases prepared to begin

Community Leases and Licences

- A lease variation for the Civic Arcade has been completed as a precaution to allow additional time for transition ahead of the Old Municipal Building's expected completion.
- Lease documentation is in progress for several community groups relocating or expanding into council-managed spaces.

Property Acquisitions

- Negotiations on terms and conditions for acquisition of 8 additional Pensioner Housing units in a new development by a Community Housing provider.

7. Communications

7.1 Current priorities and challenges

Current priorities for the month include:

- Promotion of Māori All Blacks/Black Fern double header
- T2 lane education campaign
- Elections campaign (Stand phase)
- Production and design of the 2025-26 Annual Plan

7.2 Operational activities

Media coverage

- Whangarei District Council reduces rate hike after pensioners' pleas
- Whangarei council study targets sewage overflows at Parua Bay
- Mobility parking violations rise in Whangarei despite higher fines
- PM Christopher Luxon open to scrapping regional councils amid RMA reform
- Habitat for Humanity wins national award for Whangarei housing project
- Volunteers are the heartbeat of Whangarei
- Patients miss Whangarei Hospital appointments over parking woes, staff struggle (not Council parking)
- Council rates are the tax we love to hate
- Northland faces extreme weather – tornadoes, droughts and cyclones
- Water outage in Dargaville (relief provided by WDC)
- Craig Jepson won't seek second term as Kaipara Mayor, supports deputy
- Mangawhai sandspit at risk: community warns of economic disaster
- Northland shores see 106,000 litres of litter collected in three months
- Building community connections in sport and recreation
- Puanga Matariki festivities ad time for joy, remembrance and peace – Vince Cocurullo
- Kings Birthday Honours 2025 – 12 Northlanders recognised
- Misjudging petrolhead passion
- Award for costs over Whangārei development fight 'bittersweet' hapū says
- Northland water services face major overhaul, potential cost impacts
- Cyclones, expressway, renewables – what have we achieved in three years

Communications and engagement projects

A summary of campaigns of note include:

Campaign	Comment
Local Water Done Well	Public relations for Northland Water Services Working Group
Annual Plan and Fees and Charges	Document design, communications and website updates
Māori All Blacks	Design of advertising material and promotion of ticket sales
Adoption of Future Development Strategy	Promotion of adoption across our media channels
Central city, Town Basin and Onerahi Shared path signage	Update of wayfinding signage for these three areas

Campaign	Comment
Ruakaka Wastewater project	Design of Knowledge Builder document
Regional climate resilience	Comms support for Climate Adaptation Te Taitokerau joint regional working group, TTCAN website is now live. WDC is well represented on the website. https://ttcan.nz/
Elections 2025	Comms support and planning for Elections 2025, promoting Stand phase and educating on STV and Māori Wards Poll. Held joint NRC/WDC Candidates Information Evening on 4 June – more than 1000 online viewers, 50 in person attendees
Mayoral communications	Preparing EMs for pre-election period
Central City Parking Management Plan Consultation	Have Your Say consultation planned for mid-July with online campaign
Te Kamo T2 transit lane	The T2 transit lane is now operational. Initial feedback is positive with no major issues. Planning underway for education around the camera installation due for August
Ruakaka Wastewater Treatment Plant	Community and stakeholder engagement is underway prior to the consent being lodged for the interim solution
Parua Bay Wastewater Scheme	Public relations re outcomes of investigation
Morningside Flood Relief	Community progress updates, engagement support
Whangarei Urban Flood Strategy	Communication and engagement plan, content development
Kepa Road Wastewater Improvements	Communications for project completion
Silver Festival	Brochure design

District pride campaign

We are increasing the focus on celebrating our place, showcasing more positive stories about our District, celebrating some of our local attractions and highlights, and encouraging the community to get behind well-known waste minimisation campaigns like Keep New Zealand Beautiful.

Activity over this period included:

- School holiday fun with Claphams Clocks
- Māori All Blacks/Black Ferns lead up and game day
- Art on Boxes
- Local Goodies
- Future Development Strategy adopted
- New public toilets at Maungatapere
- Aquatic Centre re-opening
- School holiday ideas
- Top places to walk your dog
- Benefits of events for Whangarei District
- Free Pohutukawa plant giveaway
- Frames up at the Loop for Māori All Black game
- Tikipunga planting collaboration with Bupa and Totara Grove Primary
- Puanga Matariki Festival
- Celebrating volunteers in our community
- Community Impact Partnerships launched
- Bikes allowed back on buses
- More homeowners may be eligible for rates rebates
- National secondary schools cross country at Barge Park
- Welcoming Plan hui
- Otuihau Whangarei Falls pictures (Love it Here)
- Your birth month = what local activity you'll be doing for Matariki (Love it Here)
- Congrats to Schnappa Rock for business award (Love it Here)
- 100% Pure NZ Northland itinerary (Love it Here)
- Check out the Hatea Loop (Love it Here)
- Walk the beach at Waipu Cove (Love it Here)
- Dream of slow, cosy weekends in Whangarei (Love it Here)
- Winter days in Whananaki (Love it Here)

Social media

Like May, June had some carefully planned major themed messages to deliver through social media. The key topics were Pōhutukawa Coast, the new T2 Lane, dog registrations (July), the major rugby event, and the upcoming elections. The month also included articles about the Future Development Strategy, Creative Communities Funding, the “Big Shout Out” for volunteers, and the pōwhiri for newcomers.

Top three highest reaching Facebook posts in June 2025 - refer to Appendix 1 for screenshots.

Topic	Reach and interaction notes
Pōhutukawa Coast 1 (announcement, 6 June)	50k reach, 707 interactions including 78 shares. 77% of reach was non-followers of the page, indicating potential for growth.
Pōhutukawa Coast 2 (on the day, 20 June)	35k reach, 511 interactions and 1582 link-clicks (for distributor info)

T2 lane podcast clip	24k reach, 13 second average watch-time. 508 interactions include a busy comments section (244 comments). The “instructional” video on the same subject reached even higher and will be included in the July operations report.
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Website and digital channels

Digital transformations*

Digital transformations have focused on moving the website requests and report it sections to the new TechOne DXP platform. These sections are now live on the website.

* Updated every three months – next update August 2025.

Top 5 pages visited (main website only, ordered by views, Google Analytics report)

*“Search”, “home” and other core functional pages are not listed.

May 2025	June 2025
Rates database and search	Puanga Matariki Festival event listings
Tribute to Celine Dion event page	Pōhutukawa Coast distributor information
Puanga Matariki Festival	Rates database and search
What's On (events)	What's On (events)
A-Z Recycling and Disposal guide	Rubbish and recycling collection
Notable: ePlan, online maps, payment gateway, Cemetery, Council agendas and minutes, proposed rates (Annual Plan), Is the Game On (sports field closures)	Notable: Contact us, payment gateway, A-Z recycling and disposal guide, online maps, ePlan, cemetery, Council minutes and agendas, dog registration

Appendix 1 - Social media (by top performing post)

· 5 June · 🌍

Our super-popular 'Pōhutukawa Coast' native plant giveaway is BACK, scheduled for the Matariki public holiday on Friday 20 June 2025. Can you believe that this year, someone will receive the 100,000th plant given away by the 34-year-old programme. 🌱

"The original aim was to increase the number of pōhutukawa trees in the District, especially along our coast," says Council Parks Technical Officer Spencer Jellyman. "The catchphrase was 'colour the District crimson', and 10,500 pōhutukawa trees were planted in the first five years."

By 2012, more than 40,000 pōhutukawa trees had been provided, and the programme expanded to include kauri, kowhai, hebes and flax. The programme's objective has now evolved to improve the district's biodiversity by offering a range of plants that attract native birds and help to create 'green corridors' between the Western Hills, Parihaka and the central city.

Giving away our 100,000th plant is an outstanding achievement that everyone involved in the programme over the years deserves to celebrate. We'd especially like to thank Alan Willis and Rona Mahy-Willis for their steadfast support, volunteering on behalf of the Northern Branch of the Royal Forest and Bird Society since the programme began.



[See insights and ads](#)

[Boost post](#)

👍❤️ 311

58 comments 78 shares

Whangarei District Council 
Published by Craig Neilson
· 19 June at 10:17 · 

We're ready - come and get em! 🌱 www.wdc.govt.nz/FreePlants
Our 'Pohutukawa Coast' free native plant giveaway is on now - come and be part of the fun and community spirit. Distributors details will be kept up to date on the website as stocks last.
This is the 34th year for Pohutukawa Coast and someone is going to be given the 100,000th plant!
Wishing everyone a safe and positive Matariki weekend.



See insights and ads [Boost post](#)

  256 67 comments · 51 shares



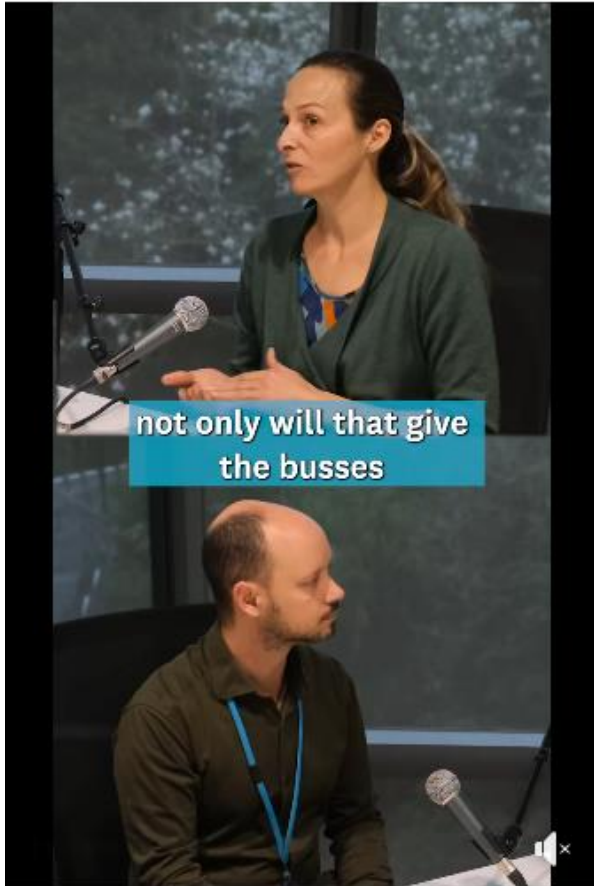
Published by Craig Neilson



· 24 June at 14:54 · 🌐

The new T2 lane on Kamo Road and Bank Street is opening on Friday 4 July 2025. We recorded a conversation about the project - listen to the whole podcast here: 🎧

www.wdc.govt.nz/Podcast



👍👎 146

244



18



RESOLUTION TO EXCLUDE THE PUBLIC

That the public be excluded from the following parts of proceedings of this meeting.

The general subject of each matter to be considered while the public is excluded, the reason for passing this resolution in relation to each matter, and the specific grounds under Section 48(1) of the Local Government Official Information and Meetings Act 1987 for the passing of this resolution are as follows:

1.	The making available of information would be likely to unreasonably prejudice the commercial position of persons who are the subject of the information. {Section 7(2)(c)}
2.	To enable the council (the committee) to carry on without prejudice or disadvantage commercial negotiations. {(Section 7(2)(i))}.
3.	To protect the privacy of natural persons. {Section 7(2)(a)}.
4.	Publicity prior to successful prosecution of the individuals named would be contrary to the laws of natural justice and may constitute contempt of court. {Section 48(1)(b)}.
5.	To protect information which is the subject to an obligation of confidence, the publication of such information would be likely to prejudice the supply of information from the same source and it is in the public interest that such information should continue to be supplied. {Section 7(2)(c)(i)}.
6.	In order to maintain legal professional privilege. {Section 2(g)}.
7.	To enable the council to carry on without prejudice or disadvantage, negotiations {Section 7(2)(i)}.

Resolution to allow members of the public to remain

If the council/committee wishes members of the public to remain during discussion of confidential items the following additional recommendation will need to be passed:

Move/Second

"That _____ be permitted to remain at this meeting, after the public has been excluded, because of his/her/their knowledge of Item _____.

This knowledge, which will be of assistance in relation to the matter to be discussed, is relevant to that matter because _____.

Note:

Every resolution to exclude the public shall be put at a time when the meeting is open to the public.